



U.S. Entertainment

Spotify Technology SA

Rating

Outperform

Price Target



625.00 USD

Spotify & US Music: Is this as good as it gets on pricing? We see upside through at least next year

For the better part of a year, our research on Spotify & the music industry has focused on the superfan. The quieter opportunity, however, continues to reside in the core paid streaming subscriber, where both volume penetration and realized price remain incompletely harvested. Spotify's successive pricing actions across markets that account for the vast majority of its global base have already compounded into higher industry monetization. The question that remains is whether the rate of Y/Y pricing gains in Q2/Q3 represents a high-water mark. Perhaps on the core rate of change, but with YouTube & now Apple Music matching Spotify's recent moves and measurable headroom still evident in global price & volume, we see runway to realize further value ahead of expectations that stretches at least through 2027.

Our mid-teens medium-term growth algorithm for Spotify is driven 5% by volume, 6-7% by pricing & 3-3.5% by superfan monetization. We estimate Spotify's Premium TAM at ~\$107B today and ~\$127B by 2030. Superfans, however, continue to offer the greatest potential upside to estimates under an uber-bull scenario of strong execution & strong adoption ([Exhibit 8](#)).

AI-enabled superfans are reshaping the music industry, and we still see WMG as well-positioned. We believe AI-driven monetization tailwinds net to an additional ~\$1-2B in recorded TAM by 2030 while organic HSD growth outshines TAM growth adding ~\$10B. WMG's upcoming release slate demonstrates its continued ability to capitalize on continued global demand for new music content.

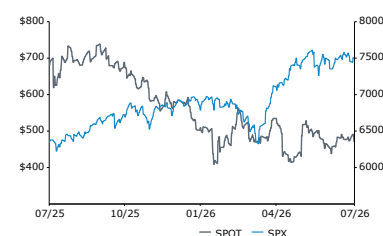
Investment Implications

We moderate our Q4 est CC ARPU growth to ~4.5% on a lack of clear pricing action in the very near term. We moderate our Premium gross margin ramp to reflect 2H26 investments in features & content (Live Nation, Peloton, AI features, etc.) which drives a ~15 bp headwind on a consolidated basis. We reiterate our Outperform rating.

Close Date	22 Jul 2026			
SPOT Close Price (USD)	474.16			
Price Target (USD)	625.00			
Upside/(Downside)	32%			
52-Week Range	748.30/405.00			
SPX	7,498.96			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	97,598			
EV (USD) (M)	77,278			
Performance	YTD	1M	6M	12M
Absolute (%)	(18.3)	3.2	(4.9)	(29.8)
SPX (%)	9.5	0.4	8.5	18.8
Relative (%)	(27.9)	2.9	(13.4)	(48.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
SPOT (EUR)	10.51	12.61	16.03	Revenues (M)	17,186	19,504	22,476	14.4%	Reported P/E (x)	39.5	32.9	25.9
OLD	--	12.78	16.16	EBITDA (M)	2,300	3,017	4,015	32.1%				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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VALUATION COMPS TABLE

EXHIBIT 1: US Entertainment

Company	Ticker	Rating	Bern PT (\$)	Implied Upside (%)	Price (\$)	Mkt Cap (\$B)	Blended NTM + 1 P/E (BernE)	Blended NTM + 1 P/E (CONS)	Blended NTM+1 EPS	
									BernE	CONS
Live Nation	LYV	OP	\$200	12%	\$178	\$42	70.7x	70.8x	\$2.83	\$2.72
TKO Group	TKO	OP	\$240	32%	\$182	\$35	37.6x	41.0x	\$6.39	\$5.58
Liberty F1	FWONK	OP	\$115	19%	\$97	\$24	44.0x	47.3x	\$2.61	\$2.49
Spotify	SPOT	OP	\$625	32%	\$474	\$98	34.3x	33.9x	\$18.23	\$17.74
Warner Music Group	WMG	OP	\$39	42%	\$27	\$14	18.3x	18.9x	\$2.13	\$2.06
DraftKings	DKNG	OP	\$31	36%	\$23	\$11	15.9x	18.7x	\$1.95	\$1.83
Flutter	FLUT	MP	\$115	15%	\$100	\$17	16.1x	14.5x	\$7.16	\$10.42

Note: Data as of market close on the July 22nd, 2026. Our upside potential calculations are based on the July 22nd, 2026 closing price.
Source: Company reports, Bloomberg, Bernstein analysis and estimates

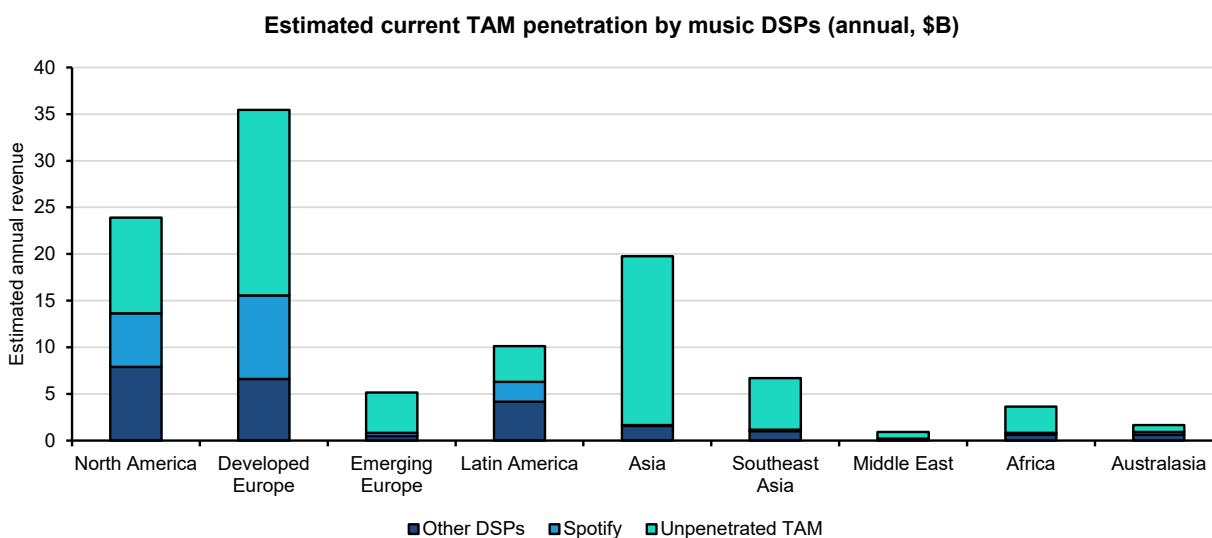
DETAILS

Where does Spotify's next phase of growth come from?

Spotify has matured in many of its largest markets. The question Spotify now faces is how it can grow. We see Spotify growing via 3 avenues: pricing power, superfan monetization, and expansion in under-penetrated regions. We outline Spotify's market, depict how pricing power effects market size, and lend our thoughts on superfans and penetration growth in this note.

To get Spotify's TAM, we do the following: count all the people with internet in countries that Spotify operates in, make assumptions about people's price sensitivity and exclude people who are unlikely to be willing to pay for Spotify premium based on price to income ratio of their country and region. Then for each country, multiply the Spotify individual price with an execution discount factor by 12 months and the eligible population to get TAM. See [Exhibit 18](#) for why using Spotify's price makes sense for calculating TAM. Note, this implies that our TAM penetrations are also equivalent to subscriber penetration.

EXHIBIT 2: We estimate Spotify Premium's current TAM to be ~\$107B with Developed Europe, North America, and Asia as the biggest markets



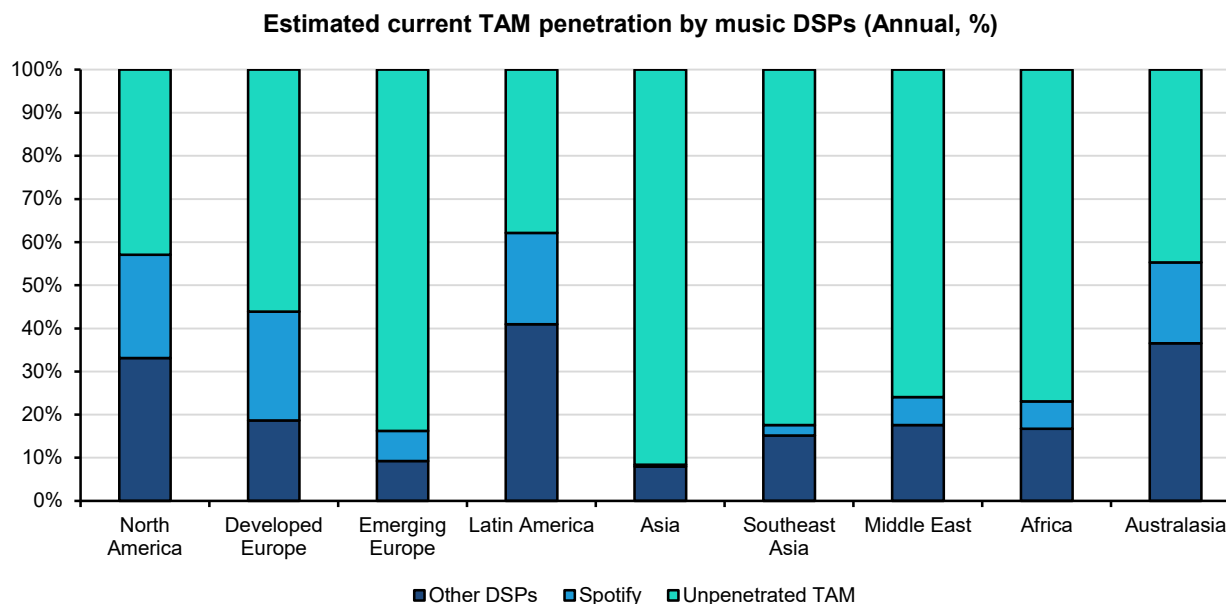
Source: World Bank, Bernstein Analysis and Estimates

We then use estimates about Spotify Premium's broad regional penetration to extrapolate more granular penetrations for Spotify and other DSPs and verify that these penetrations match Spotify Premium revenue with slight room for error. Specifically, we estimate Spotify has 34% of global premium market share implying that there are 860 million premium subscribers globally. We estimate that Spotify has 42% market share in North America, 56% in Europe, and 34% in Latin America implying 15% in the rest of the world which gives estimates for total premium subscribers in the broad regions.

Next, we allocate premium users for all music DSPs into the smaller regions. North America and Latin America follow easily because they aren't subdivided into other regions. When subdividing Europe and the rest of the world, we use estimates of relative demand within the larger region by comparing prices and incomes. After obtaining estimates for total premium users, we determine Spotify's penetrations by filling in the gaps in a way that matches Spotify's premium revenue and user numbers.

These regional user estimates flow back to country level premium user estimates based off further estimates of relative demand, which allows us to compute a total premium revenue from the country level. Our model outputs around \$18B in revenue which is \$0.5B above Spotify's 2025 premium revenue demonstrating that our estimates are in the ballpark of the true penetrations.

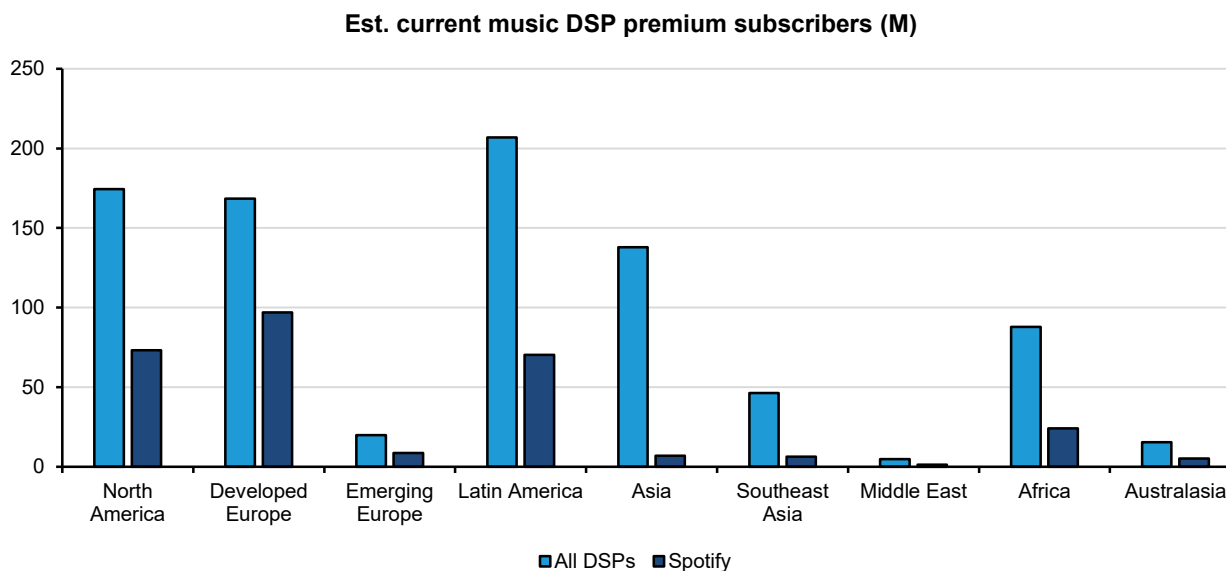
EXHIBIT 3: We see ample room for Spotify to grow, in particular, Asia, Southeast Asia, and Emerging Europe are likely underpenetrated volume wise. We also see price growth opportunity across the board.



Source: World Bank, Bernstein Analysis and Estimates

As noted above, our TAM penetrations are equivalent percent wise to subscriber penetrations. However, due to regional pricing differences, subscriber counts differ in magnitude from TAM and this is also helpful for evaluating where it is important for Spotify to grow or take share from other music DSPs. Under the assumption that Spotify's share of North America and Developed Europe won't grow substantially, Latin America and Asia are the biggest opportunities.

EXHIBIT 4: Latin America and Asia are likely to be the key battlegrounds for Spotify to increase market share over other music DSPs. Within Asia, India is where we believe Spotify can have the greatest impact.

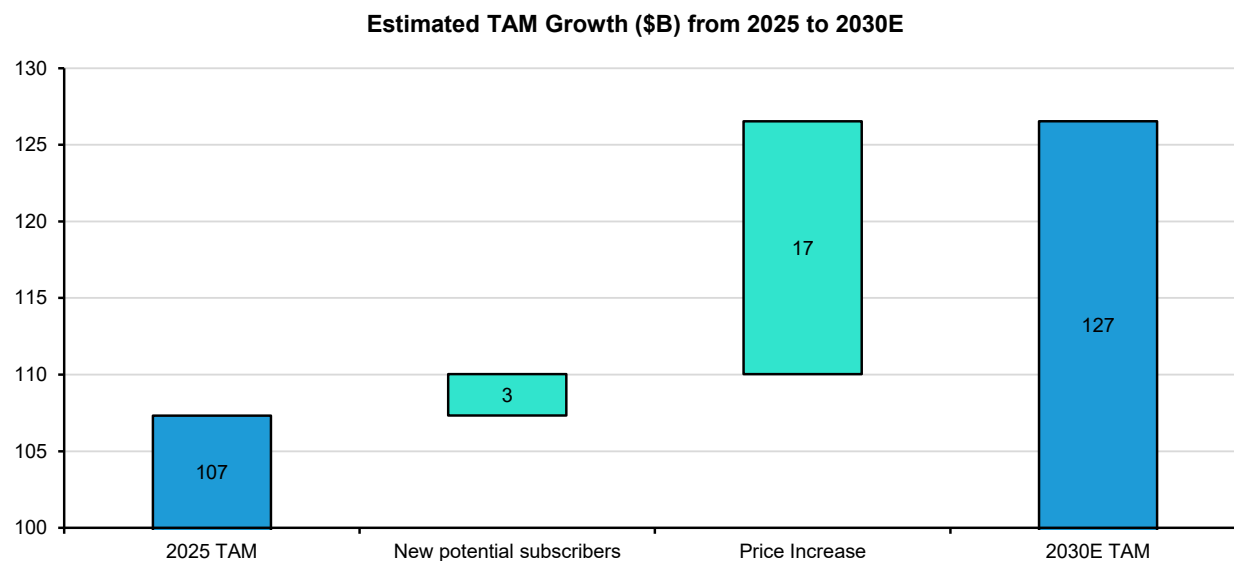


Source: World Bank, Bernstein Analysis and Estimates

We believe the easiest lever of growth for Spotify is pricing power. If we control for monetizing superfans, then there are two ways to grow TAM: more people are convert to Spotify Premium or premium prices increase. Between the two, we think price increases / pricing power will have a greater effect.

We model very modest growth in Spotify's addressable audience, giving countries with smaller percentages of eligible people larger growth and countries with high percent of eligible people very small growth. From 2025 to 2030, this means we get from 2.98B potential subscribers to 3.1B. For pricing power, we simply increase prices by a modest 15% and calculate TAM as before. Because these effects multiply out for TAM, we isolate the effects by calculating the TAM with new potential subscribers and no price increase which gives us \$2.7 billion in growth. That implies the other \$16.5 billion is as a result of pricing increases.

EXHIBIT 5: We estimate 2030E TAM to grow ~18% with the majority of growth attributed to price increases



Source: World Bank, Bernstein Analysis and Estimates

Price sensitivity is how we determine who could be a potential Spotify Premium user. For any particular region, we do this specifically by computing a price to income ratio for that region and assuming people won't pay more than that ratio. For the US and Europe, we use the average price to income ratios of people in the lowest quintile of earners. For Latin America and Rest of World, we use the average price to income ratios of their 2nd quintile earners.

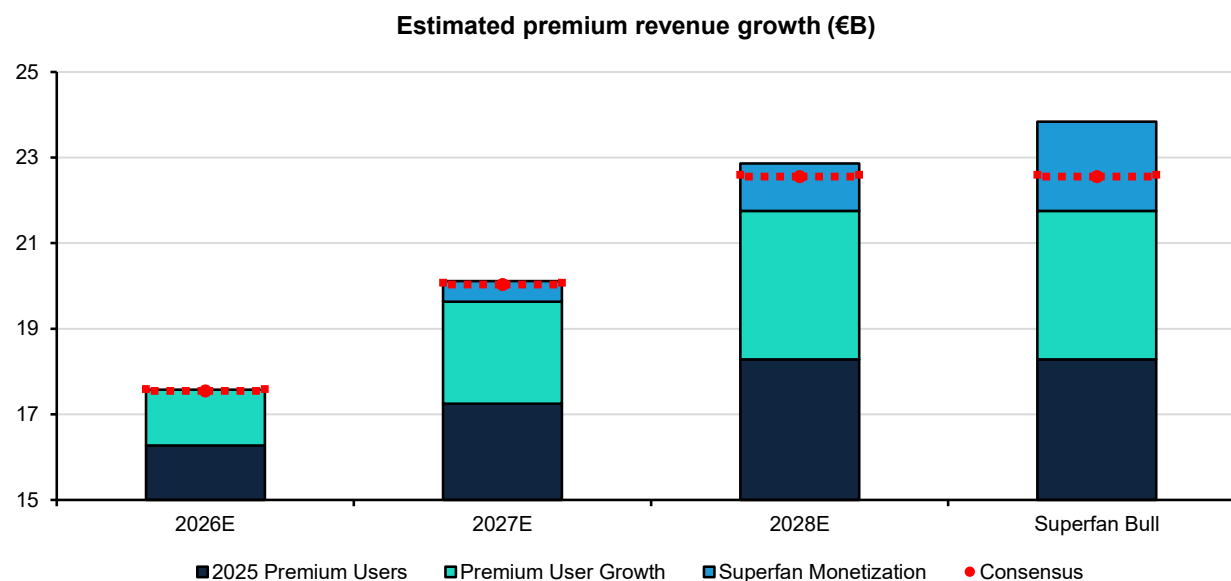
Put simply, this means that we are assuming people in the US and Europe are less price sensitive to Spotify and people in Latin America and the rest of the world are more price sensitive. Below, we show what happens when we scale the maximum price to income ratios we assume people will pay. As the price sensitivity scaler goes down, people become more price sensitive and are less willing to dedicate a portion of their income to Spotify and vice versa. For the number of possible subscribers, the rest of world varies the most as price sensitivity is scaled. For TAM, the biggest changes occur in Asia and Southeast Asia with modest changes in other regions.

EXHIBIT 6: Across varied price sensitivity assumptions, our estimates of current TAM range from \$90B to \$117B with a lot of the changes occurring in Asia and Southeast Asia

TAM across different consumer price sensitivities					
Price sensitivity scaler	0.75x	0.88x	1.00x	1.13x	1.25x
Max possible subscribers (M)					
North America	305	305	311	361	361
Latin America	233	293	307	339	341
Europe	433	465	484	488	489
Rest of world	1,363	1,783	1,884	2,074	2,162
Global	2,334	2,846	2,986	3,263	3,354
Current TAM (M)					
North America	\$ 23,540	\$ 23,540	\$ 23,900	\$ 27,855	\$ 27,855
Developed Europe	\$ 31,901	\$ 33,767	\$ 35,444	\$ 35,444	\$ 35,515
Emerging Europe	\$ 4,569	\$ 5,042	\$ 5,152	\$ 5,341	\$ 5,590
Latin America	\$ 7,848	\$ 9,668	\$ 10,125	\$ 11,641	\$ 11,723
Asia	\$ 15,846	\$ 19,091	\$ 19,777	\$ 21,596	\$ 21,596
Southeast Asia	\$ 3,935	\$ 6,276	\$ 6,711	\$ 7,162	\$ 8,859
Middle East	\$ 776	\$ 819	\$ 915	\$ 989	\$ 1,011
Africa	\$ 3,209	\$ 3,538	\$ 3,653	\$ 3,961	\$ 4,031
Australasia	\$ 1,619	\$ 1,620	\$ 1,654	\$ 1,662	\$ 1,662
Global	\$ 93,242	\$ 103,361	\$ 107,331	\$ 115,649	\$ 117,841

Source: Bernstein Analysis and Estimates

EXHIBIT 7: Outside of price increases, we also see growth from premium users and superfan monetization



Source: Bernstein Analysis and Estimates

When calculating the impact Superfans could have on Spotify's revenue, we make estimates on how much each superfan will contribute on average and what the penetration of Superfans will be. Spotify's superfan rollout isn't a \$5 subscription that all

superfans can sign up for, but rather it's a diverse array of products that make calculating its revenue quite a bit more difficult. Regardless, we simplify things as follows:

EXHIBIT 8: Our key superfan assumptions are 1.2%% and 2.6% penetration as well as an additional ~\$5 ARPU

Superfan impact	2026E	2027E	2028E	Superfan bull
Superfan % of 1Q26 MAUs	0.0%	1.2%	2.6%	2.6%
Add. rev. per superfan	€ -	€ 4	€ 5	€ 9
Superfan add. rev. (M)	€ -	€ 484	€ 1,108	€ 2,091
% of 2025 premium rev.	0.0%	3.2%	7.2%	13.6%

Source: Bernstein Analysis and Estimates

There is a large degree of variance to which superfan monetization view can contribute to revenue. We conservatively target \$5 in additional revenue per superfan, but if Spotify executes really well, that could lead to substantial growth in premium revenue.

EXHIBIT 9: Superfan pricing can move the revenue dial a lot even at small penetration. When evaluating Spotify's upcoming superfan program, we believe pricing will be the key driver of success.

Add. annual superfan rev. (€M) across penetration/price (€)						
	€ 4	€ 6	€ 8	€ 10	€ 12	
0.8%	€ 313	€ 457	€ 601	€ 745	€ 889	
1.0%	€ 392	€ 573	€ 753	€ 934	€ 1,114	
1.2%	€ 472	€ 689	€ 906	€ 1,123	€ 1,340	
1.4%	€ 551	€ 805	€ 1,058	€ 1,312	€ 1,565	
1.6%	€ 631	€ 921	€ 1,211	€ 1,501	€ 1,791	
1.8%	€ 710	€ 1,037	€ 1,363	€ 1,690	€ 2,016	

Source: Bernstein Analysis and Estimates

We look at current superfan offerings to estimate how much Spotify can monetize superfans. Currently, most superfan offerings are priced at around \$5 monthly. (The Weverse ones appear cheaper, but both a digital and official membership are needed for full access and there are further ways to monetize superfans on the app). This shows that superfans are generally willing to pay at least somewhere in the \$5 monthly range to support their favorite creators.

EXHIBIT 10: Though Spotify's superfan program isn't a simple subscription, we look at comparable superfan subscriptions and see \$5 monthly per superfan is likely the floor for superfan monetization

Superfan pricing comps (\$monthly)	
Weverse BTS digital membership	\$ 2.00
Weverse BTS official membership	\$ 1.83
Top earning patreon (The Yard)	\$ 6.00
Tier 1 Twitch subscription	\$ 5.00
MrBeast Youtube membership	\$ 5.00

Source: Weverse, Graphtreon, Youtube, Bernstein Analysis

For superfan penetration, we look to Twitch. Twitch premium users are sparse, just as we'd expect for Spotify. Like Spotify, Twitch is a freemium media platform that people often spend many hours on.

EXHIBIT 11: **Twitch provides a useful comparison for estimating superfan penetration**

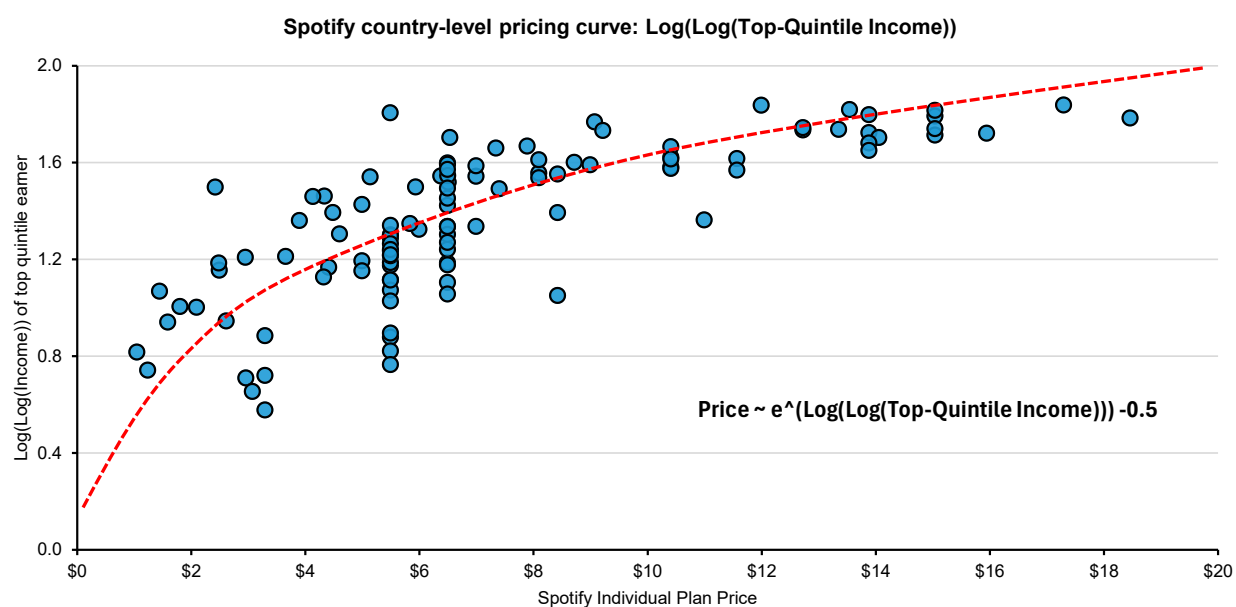
Est. Twitch subscriber conversion	Jun-26
Est. Twitch MAUs (M)	240
Est. Twitch Subs (M)	3.4
Twitch subscriber conversion	1.4%

Source: Twitchtracker, Bernstein Analysis and Estimates

EXHIBIT 12: **Our estimates are consistent with ~22% increase in global premium users from 2025 to 2028 and 6% yearly pricing growth, most of user growth is driven by Latin America and the rest of the world. We see user growth in North America, Europe, and Latin America decelerating in the coming years.**

Premium growth relative to 2025	2026E	2027E	2028E
North America	7.2%	10.8%	13.8%
Europe	7.8%	11.8%	15.5%
Latin America	17.2%	33.4%	46.3%
Rest of World	20.8%	38.3%	58.4%
Global premium users	11.2%	19.3%	26.8%
Price	6.0%	12.4%	19.1%
Add. rev. from new users (M)	€ 1,305	€ 2,386	€ 3,470
% of 2025 premium rev.	8.5%	15.5%	22.6%

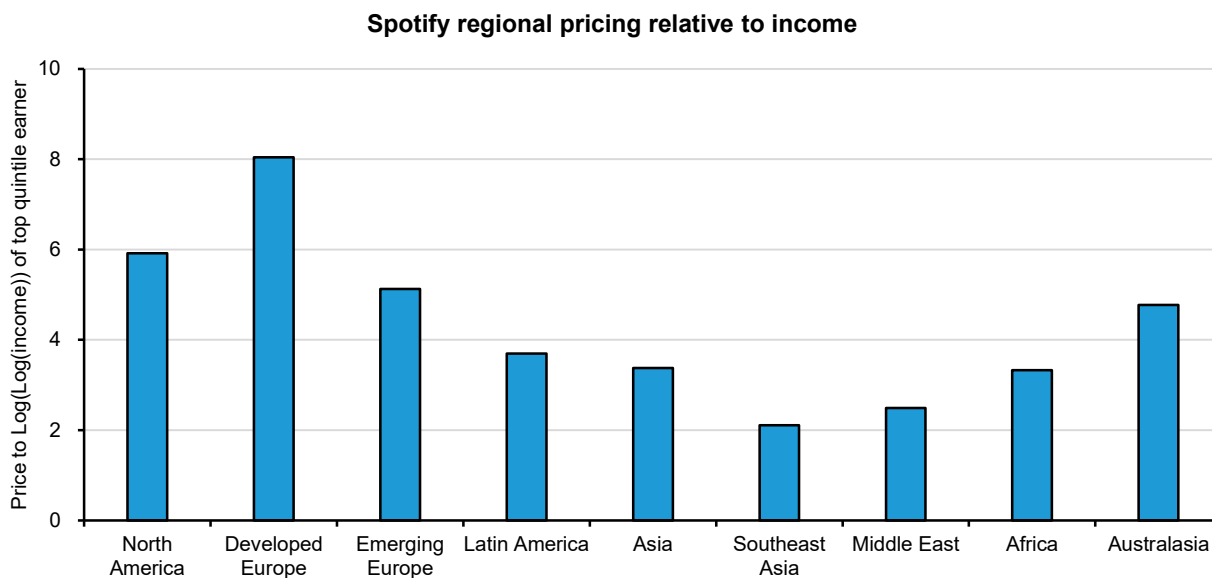
Source: Spotify, Bernstein Analysis and Estimates

EXHIBIT 13: **Spotify's country level pricing curve shows that price is largely in line with income, but there is variance which likely corresponds to differences in demand**

Log here is actually natural log, top quintile income is in thousands before applying computation

Source: Spotify, Bernstein Analysis and Estimates

EXHIBIT 14: **Price relative to log scaled income gives directionally correct estimates of Spotify demand.**



Source: Spotify, Bernstein Analysis and Estimates

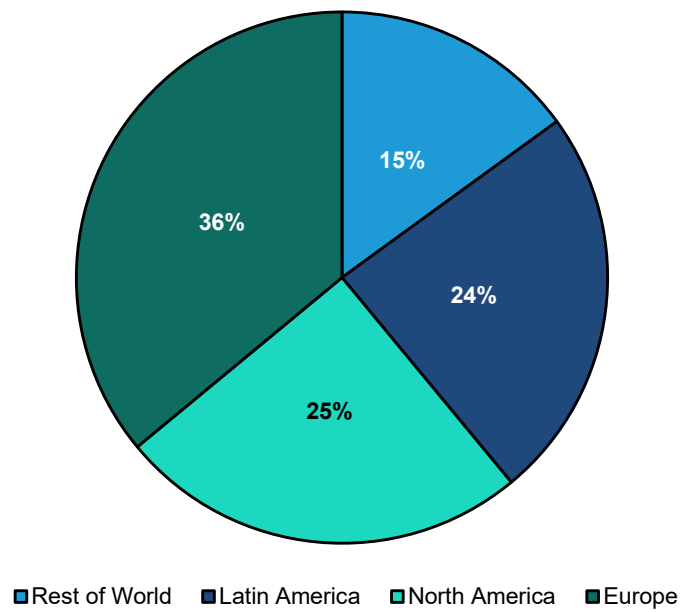
EXHIBIT 15: **While price to income can reflect Spotify's affordability, it doesn't tell a good story of demand. Rather using log scaled income is necessary to remove effects of income imbalance when making comparisons to estimate demand.**



Source: Spotify, Bernstein Analysis and Estimates

EXHIBIT 16: Europe comprises the majority of Spotify's premium users with North America and Latin America both around 70 million subscribers

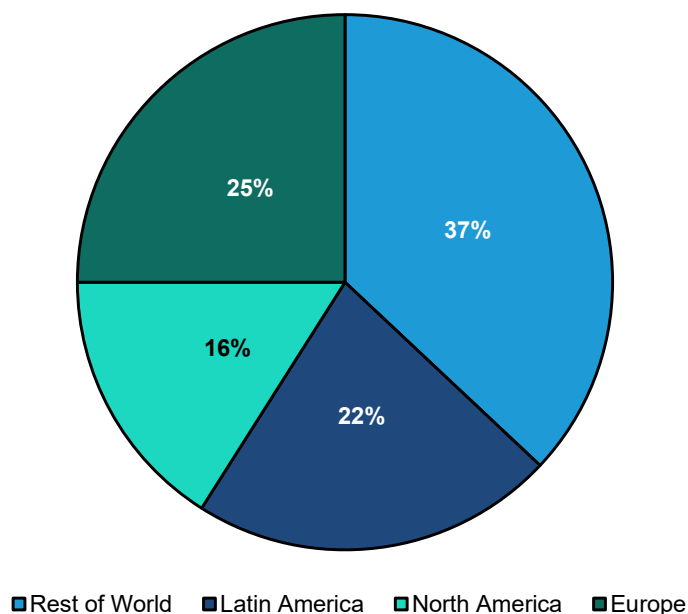
1Q26 293M Premium users by region



Source: Spotify, Bernstein Analysis

EXHIBIT 17: **Comparing Spotify's Premium distribution vs MAU distribution, Rest of World is overrepresented in MAUs as compared to premium users. Spotify's ability to convert those MAUs to premiums is crucial to growth.**

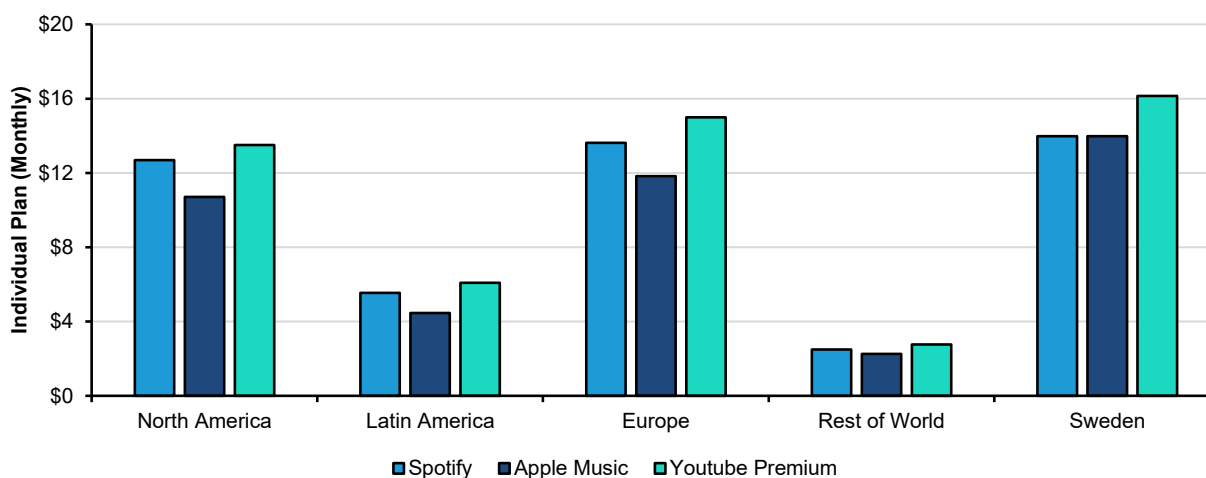
1Q26 761M MAU by region



Source: Spotify, Bernstein Analysis

EXHIBIT 18: **Spotify's price is about the same as its competitors regionally, showing that its pricing is efficient**

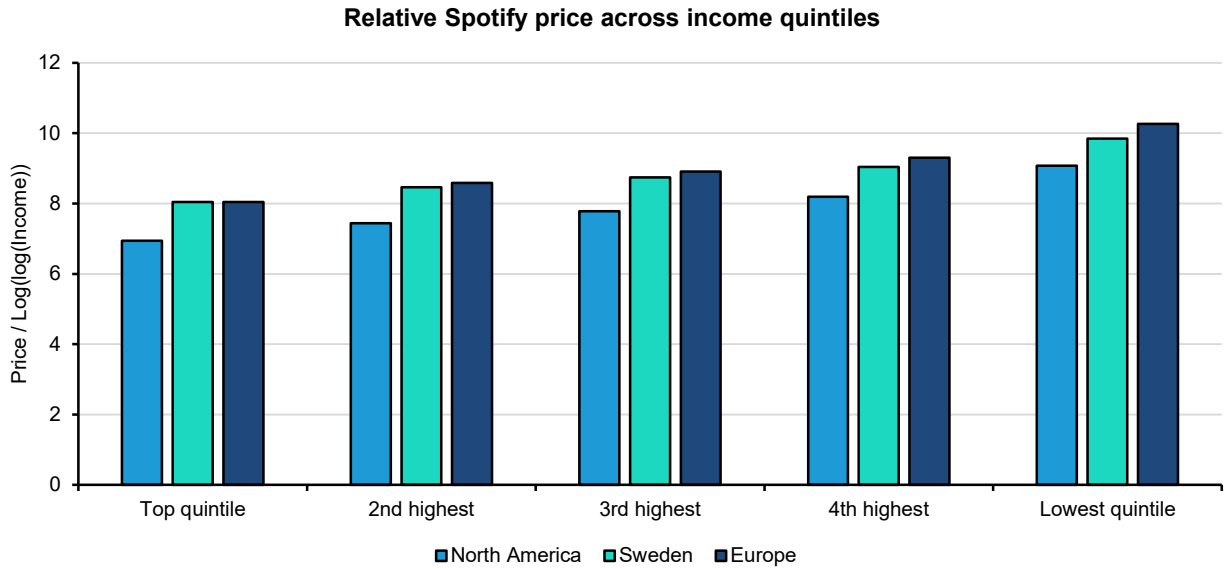
Regional price across music DSP market participants



Source: Geopriced, Bernstein Analysis and Estimates

Comparing Price/Log(Log(Income)) for North America, Sweden, and Europe at all quintiles, North America is relatively cheaper at each quintile. We believe this could serve as evidence that Spotify could increase prices in North America. We acknowledge an alternative conclusion that this could be a result of Spotify having less market share in North America than Europe.

EXHIBIT 19: The price increases will likely continue until morale improves. Spotify's income scaled price in North America is lower than both Sweden and Europe at each quintile indicating there likely is more room for price increases in one of Spotify's biggest markets.



Source: Bernstein Analysis and Estimates

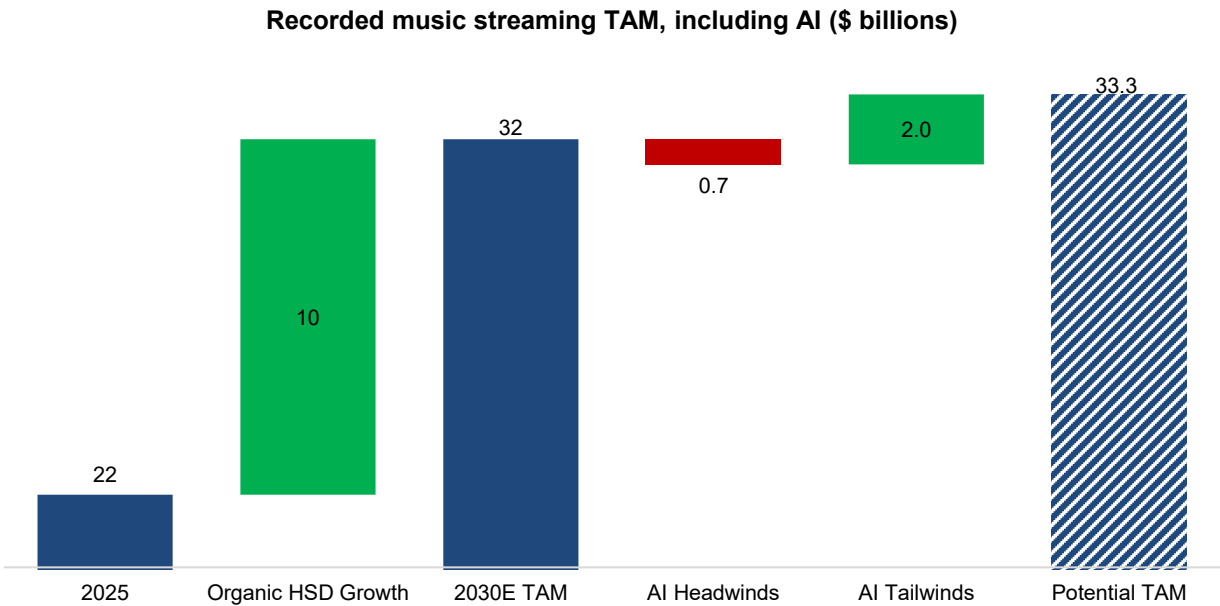
WARNER MUSIC (WMG) - STILL A LOW-KEY AI WINNER

A lot of the AI and music debate is focused on disruption risks, we believe the incumbent labels and DSPs still have strong competitive advantages in a new AI music ecosystem. Rather than trying to fight AI, we see the music industry adapting, potentially unlocking new revenue for artists, labels, and DSPs. However, we do see a wide range of outcomes. On the bullish side, AI emerges as a valuable tool for artists and how people interact with existing IP. For labels, this would likely mean an incremental uplift. On the bearish side, artists could choose not to opt in, dilution could inundate platforms, and weak IP protections in various developing markets could lead to unfair usage without compensation. That scenario would undoubtedly harm labels.

Overall, we think value creation is the more likely scenario, but this is somewhat contingent on AI and music collaborations following a path of artist-first tools. This could lead to TAM expansion, shorter album cycles, and superfan monetization countering headwinds. Alternatively, if AI “slop” wins, then we believe fragmentation likely caps upside.

We believe in the medium-term that WMG’s trajectory is tied to its ability to pioneer commercial and ethical foundational models being built with its partners, such as Suno, Udio, and Stability AI. In the past, labels were forced to catch up to new technology, but with AI, WMG is planning to turn a competitive threat into a high-margin licensing vertical.

EXHIBIT 20: **We expect higher engagement, shorter album cycles, and incremental pricing power offset royalty leakage and yield a ~\$1-2B increase in 2030E streaming TAM**



Source: Company reports, IFPI, RIAA, Bernstein Analysis and Estimates

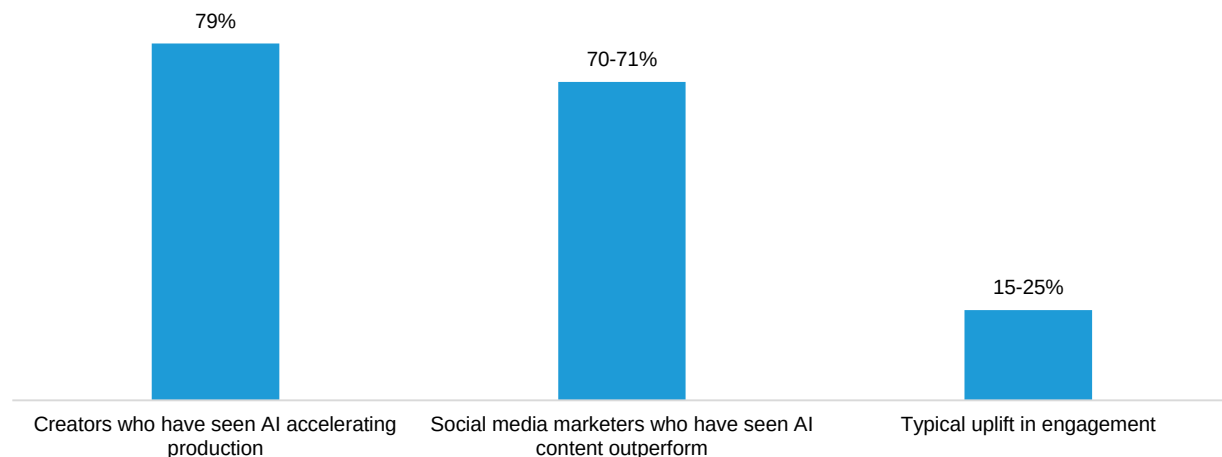
EXHIBIT 21: WMG is rapidly building an “approved AI” stack around Udio, Stability AI and Klay, turning litigation into licensed creation tools and AI streaming

Partner	Verticals hit	Strategic angle
Udio	AI music creation, remixing, consumer UGC	Turn litigation into licensed AI creation platform; test higher margin “AI SaaS” layer on catalog; reinforce norm that training must be paid and opt-in
Klay	AI native streaming, personalization, UGC	Gain upside in AI-enhanced streaming while keeping usage inside a licensed garden; help shape format/guardrails for AI remixes
Stability	Pro creator tools, production workflow	Embed “responsible AI” tools into artist / writer workflow; influence the enterprise audio stack; create upside from tooling plus incremental licensing

Source: Music Business Worldwide, Reuters, WMG, Bernstein Analysis

EXHIBIT 22: There's a lot of slop out there, but in general AI is making advertisers/influencers/creators more efficient & engaging, washing out human-only video at the low end of the quality spectrum

AI-assisted vs. human-only video



Source: Hootsuite, HubSpot, Marketing Hub, Buffer, Bernstein Analysis

EXHIBIT 23: WMG's release lineup continues to look promising; we see the anticipation of releases as an important factor in driving streaming growth, catalog engagement, and fan acquisition

Quarter	Artist	Album / Project	Label	WMG Relationship	Notes
Q3 2026 (4FQ 2026)	Charli XCX	Music, Fashion, Film	Atlantic Records	Core WMG Label	7th Studio Album releasing on July 24th
	FLO	Therapy at the Club	Island Records	Core WMG Label	Sophomore Album releasing July 24th
	NoCap	Heaven on Mars	Atlantic Records	Core WMG Label	Album releasing July 31st
	Twenty One Pilots	More Than We Ever Imagined (Live in Mexico City)	Fueled by Ramen	Core WMG Label	Live Album releasing August 7th
	Ravyn Lenae	Blue Island	Atlantic Records	Core WMG Label	3rd studio album releasing August 7th
	Weezer	Weezer ("The Gold Album")	Reprise Records	Core WMG Label	20th Studio Album releasing August 21st
	Brandon Flowers	THRASHER	Island Records	Core WMG Label	1st solo album releasing August 22nd
	Alex Warren	WILDCILD	Atlantic Records	Core WMG Label	Album releasing August 28th
	Yaelokre	Foreword	Atlantic Records	Core WMG Label	Album releasing September 3rd
Q4 2026 (1FQ 2027)	NLE Choppa	Top Shotta 2	No Love Entertainment/Warner Records	Core WMG Label	Scheduled to be released in 2026
	Gojira	TBD	Roadrunner Records	Core WMG Label	Album release expected in 2026
	Cardi B	TBD	Atlantic Records	Core WMG Label	3rd Studio Album, Cardi B publicly pushed for 2026 release
	Megan Thee Stallion	Megan: ACT III	Hot Girl Productions	Distribution and Marketing Partnership with WMG	Album release expected in 2026
	Knox	My Midwest Best	Atlantic Records	Core WMG Label	Sophomore album releasing October 2nd
Q1 2027 (Post 2FQ 2027)	Zach Bryan	Young Manhood and Other Donatable Organs	Warner Records	Core WMG Label	Confirmed EP with song teasers, but no release date
	Dua Lipa	TBD	Warner Records	Core WMG Label	Unknown release date
	The Killers	TBD	Island Records	Core WMG Label	8th Studio Album expected in 2027

Source: Bernstein Analysis

SPOT Earnings Preview

EXHIBIT 24: SPOT Earnings Preview

In millions except per share, percentage, and per user

SPOT	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E Bernstein	2Q26E Consensus	%
Key Operating Metrics												
Premium Subscribers (EOP)	239	246	252	263	268	276	281	290	293	299	299	0.1%
Premium APRU	€ 4.55	€ 4.62	€ 4.71	€ 4.85	€ 4.73	€ 4.57	€ 4.53	€ 4.70	€ 4.76	€ 4.88	€ 4.89	-0.2%
Ad-Supported MAUs	388	380	402	425	423	433	446	476	483	489	491	-0.5%
Ad-supported APRU	€ 0.33	€ 0.40	€ 0.39	€ 0.42	€ 0.33	€ 0.35	€ 0.33	€ 0.36	€ 0.27	€ 0.31	€ 0.31	0.7%
Segment Results												
Premium												
Revenue	3,247	3,351	3,516	3,705	3,771	3,740	3,826	4,013	4,148	4,330	4,341	-0.3%
Gross Profit	979	1,051	1,178	1,287	1,262	1,237	1,269	1,398	1,445	1,513	1,509	0.2%
Margin	30.2%	31.4%	33.5%	34.7%	33.5%	33.1%	33.2%	34.8%	34.8%	34.9%	34.8%	0.2%
Ad-Supported												
Revenue	389	456	472	537	419	453	446	518	385	455	454	0.2%
Gross Profit	25	61	62	81	64	83	82	101	50	75	78	-4.1%
Margin	6.4%	13.4%	13.1%	15.1%	15.3%	18.3%	18.4%	19.5%	13.0%	16.5%	17.2%	-0.7%
IFRS Gross Profit												
Revenues	3,636	3,807	3,988	4,242	4,190	4,193	4,272	4,531	4,533	4,785	4,795	-0.2%
Cost of Revenue	(2,632)	(2,695)	(2,748)	(2,874)	(2,864)	(2,873)	(2,921)	(3,032)	(3,038)	(3,197)	(3,208)	-0.3%
Gross Profit	1,004	1,112	1,240	1,368	1,326	1,320	1,351	1,499	1,495	1,588	1,588	0.0%
Margin	27.6%	29.2%	31.1%	32.2%	31.6%	31.5%	31.6%	33.1%	33.0%	33.2%	33.1%	0.1%
IFRS Income												
Operating Expenses	(836)	(846)	(786)	(891)	(817)	(914)	(769)	(798)	(780)	(938)	(949)	-1.3%
EBITDA	199	296	484	507	536	432	606	726	741	676	735	-8.0%
D&A	(31)	(30)	(30)	(30)	(27)	(26)	(24)	(25)	(26)	(26)	(28)	-7.8%
EBIT	168	266	454	477	509	406	582	701	715	650	706	-8.0%
Net Income	197	274	300	367	225	(86)	899	1,174	721	570	570	0.1%
EPS	€ 0.97	€ 1.33	€ 1.45	€ 1.76	€ 1.07	€ (0.42)	€ 4.21	€ 5.52	€ 3.45	€ 2.72	€ 2.72	0.3%
Balance Sheet & Cash Flow												
Ending Cash	3,451	4,054	4,688	4,781	5,019	5,161	5,456	5,258	5,255	5,405	5,848	-7.6%
Free Cash Flow	207	490	711	876	534	700	805	834	824	729	810	-10.0%
FCF Conversion (% EBITDA)	104%	166%	147%	173%	100%	162%	133%	115%	111%	108%	110%	-2.4%
Below the line considerations												
Taxes	23	4	(98)	(132)	(103)	(134)	72	153	(216)	(125)	(134)	
Non-Op Income	6	4	(56)	22	(181)	(358)	245	320	222	45	(3)	
Avg. shares (diluted)	204	206	207	209	210	205	214	212	209	209	210	-0.2%

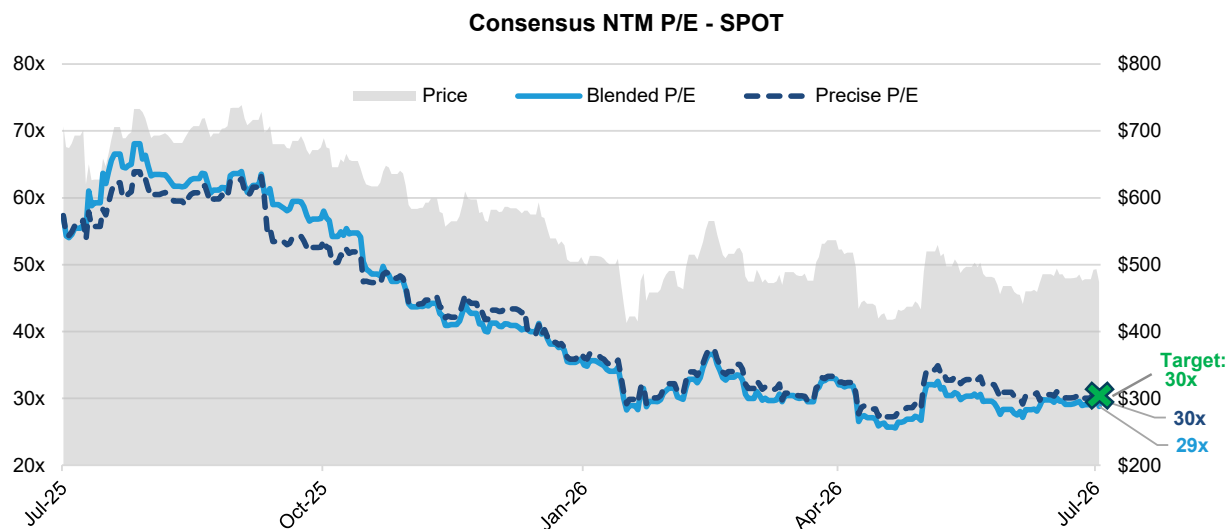
Source: Company reports, Bloomberg, Bernstein Analysis and Estimate

EXHIBIT 25: Estimate revisions from the previous version of our SPOT model

SPOT - Bernstein Estimate Revisions	1Q26	2Q26E	3Q26E	4Q26E	FY2026E	FY2027E
Revenue Growth						
Old Estimates	8.2%	14.5%	15.0%	17.3%	13.8%	13.3%
Revised Estimates / Actuals	8.2%	14.1%	17.2%	14.3%	13.5%	15.2%
delta		-0.3%	2.3%	-3.0%	-0.3%	1.9%
Premium Subscribers						
Old Estimates	293	299	306	317	317	337
Revised Estimates / Actuals	293	299	306	317	317	339
delta		0.0%	0.0%	0.0%	0.0%	0.8%
Premium ARPU						
Old Estimates	€ 4.76	€ 4.89	€ 4.79	€ 5.05	€ 58.49	€ 62.29
Revised Estimates / Actuals	€ 4.76	€ 4.88	€ 4.91	€ 4.93	€ 58.43	€ 62.36
delta		-0.2%	2.4%	-2.4%	-0.1%	0.1%
Total MAUs						
Old Estimates	761	778	795	828	791	848
Revised Estimates / Actuals	761	778	795	828	791	851
delta		0%	0%	0%	0%	0%
Gross Profit Margin						
Old Estimates	33.0%	33.2%	33.4%	34.8%	33.6%	35.0%
Revised Estimates / Actuals	33.0%	33.2%	33.2%	34.4%	33.5%	34.6%
delta		0.0%	-0.1%	-0.4%	-0.1%	-0.4%
Operating Income						
Old Estimates	715	653	691	896	2,955	3,929
Revised Estimates / Actuals	715	650	709	839	2,913	3,915
delta		0%	3%	-6%	-1%	0%
EPS						
Old Estimates	€ 3.45	€ 2.73	€ 2.89	€ 3.71	€ 12.78	€ 16.16
Revised Estimates / Actuals	€ 3.45	€ 2.72	€ 2.96	€ 3.48	€ 12.61	€ 16.03
delta		0%	2%	-6%	-1%	-1%

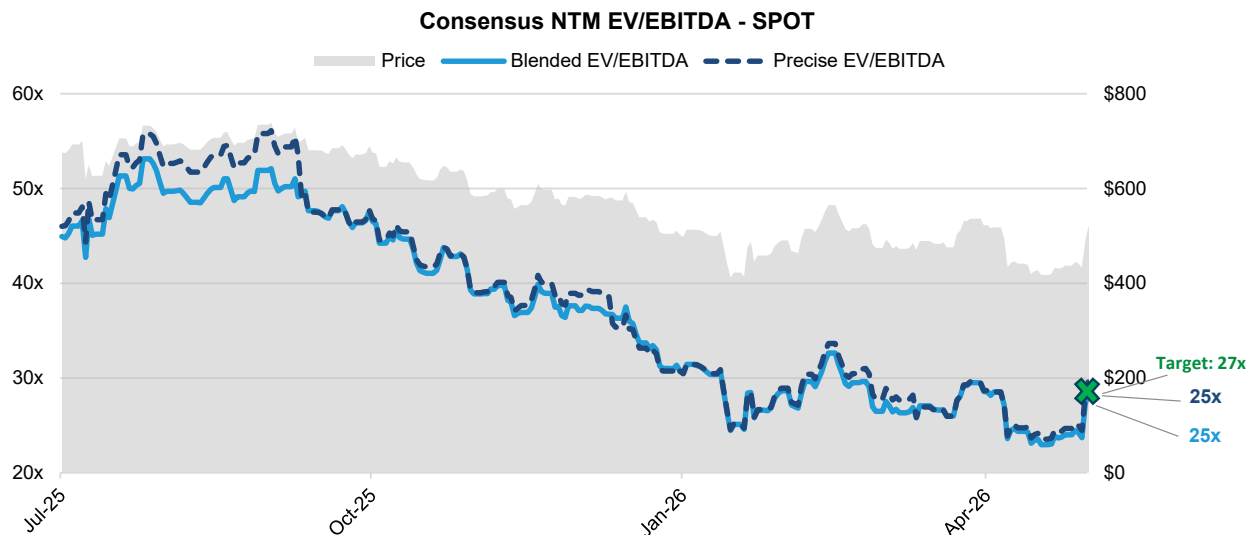
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 26: **SPOT 1-year historical NTM P/E**



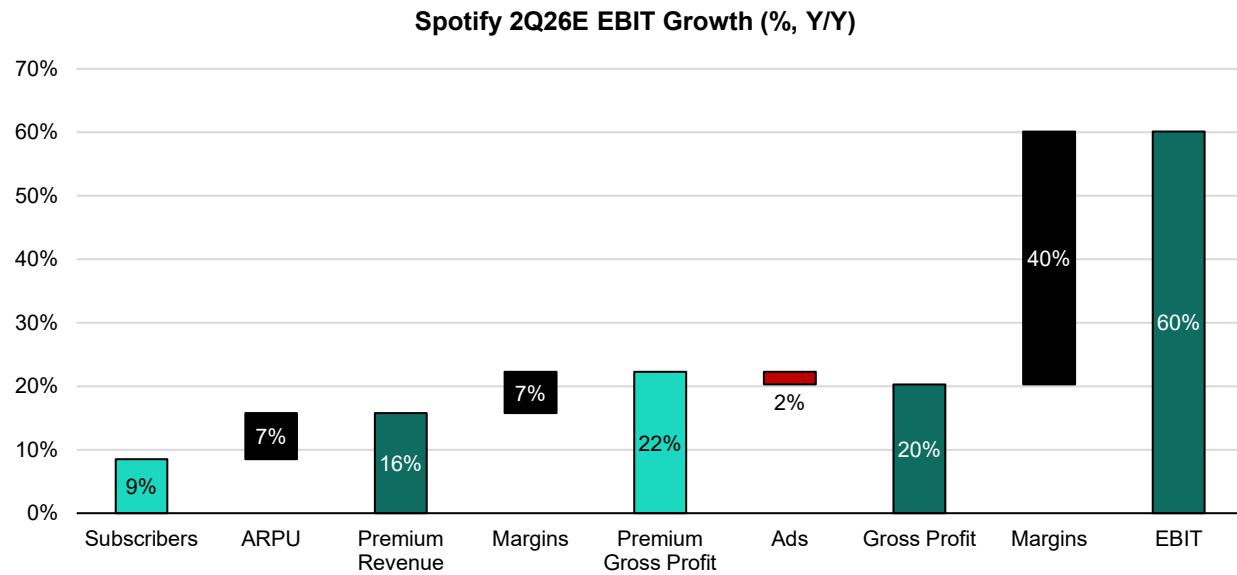
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 27: **SPOT 1-year historical NTM EV/EBITDA**



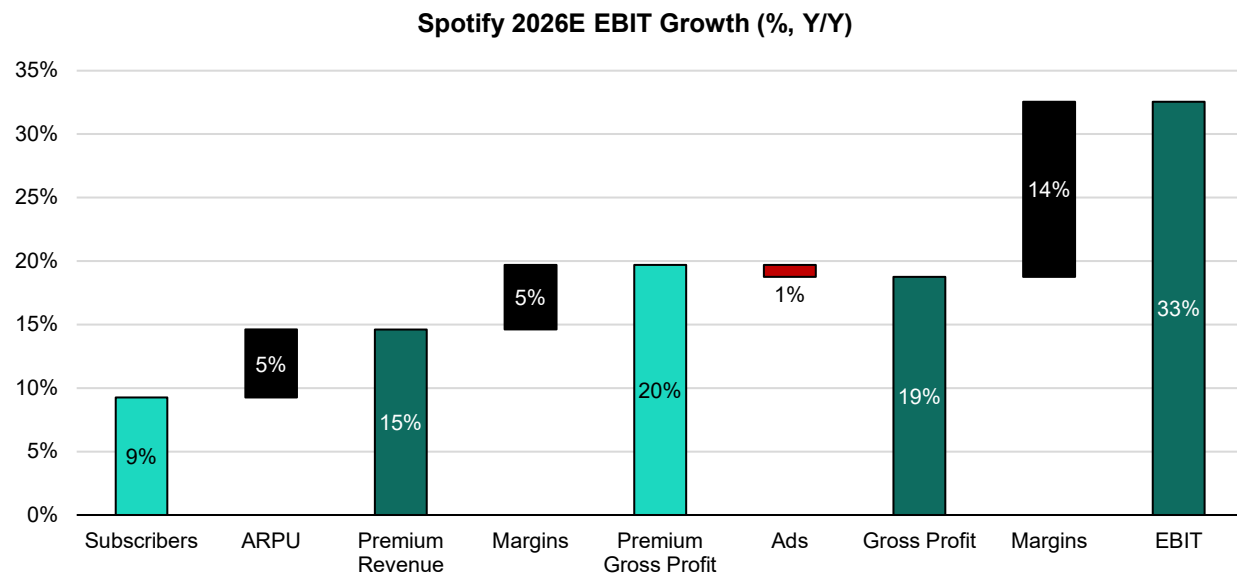
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 28: **Margin expansion remains the key driver of SPOT's strong EBIT growth into 2Q26E**



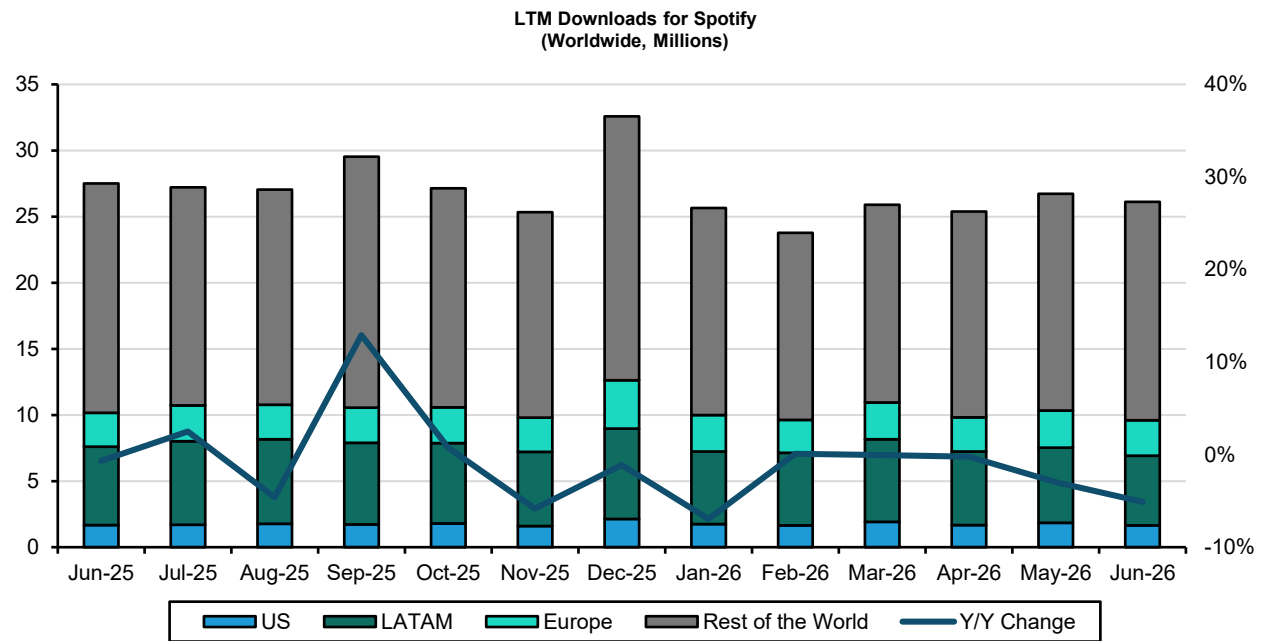
Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 29: **We expect EBIT growth to moderate in 2026E, but remains driven by continued margin expansion**



Source: Company reports, Bernstein Analysis and Estimates

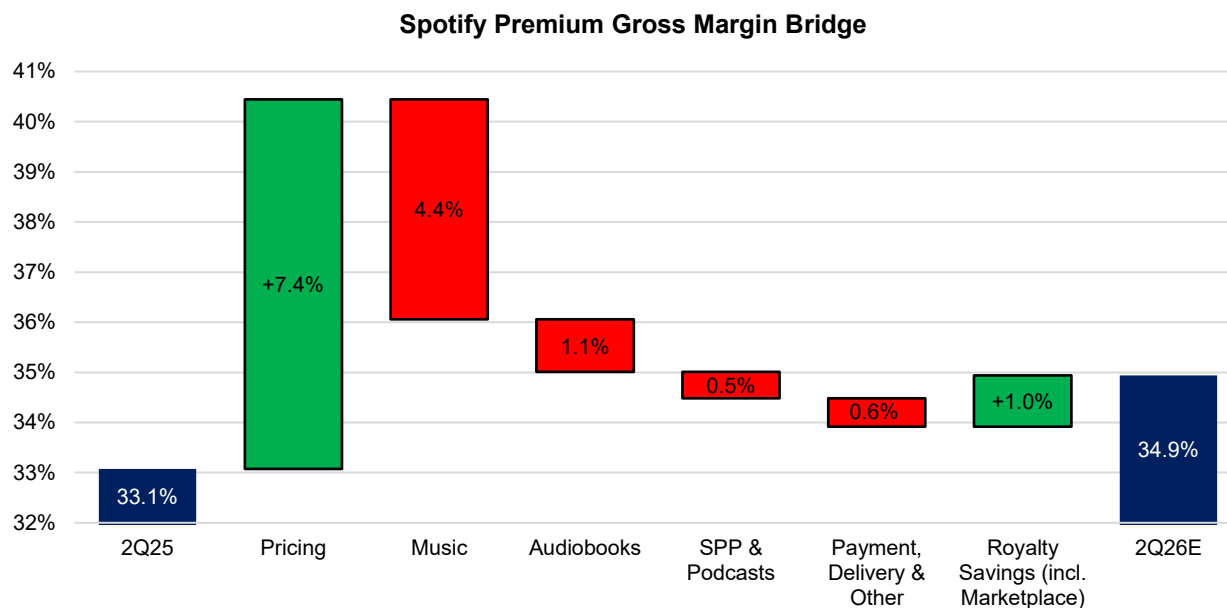
EXHIBIT 30: **Worldwide Spotify downloads resumed the Y/Y decline after a temporary stabilization in 1Q26**



Source: SensorTower, Bernstein Analysis

Premium Gross Margin

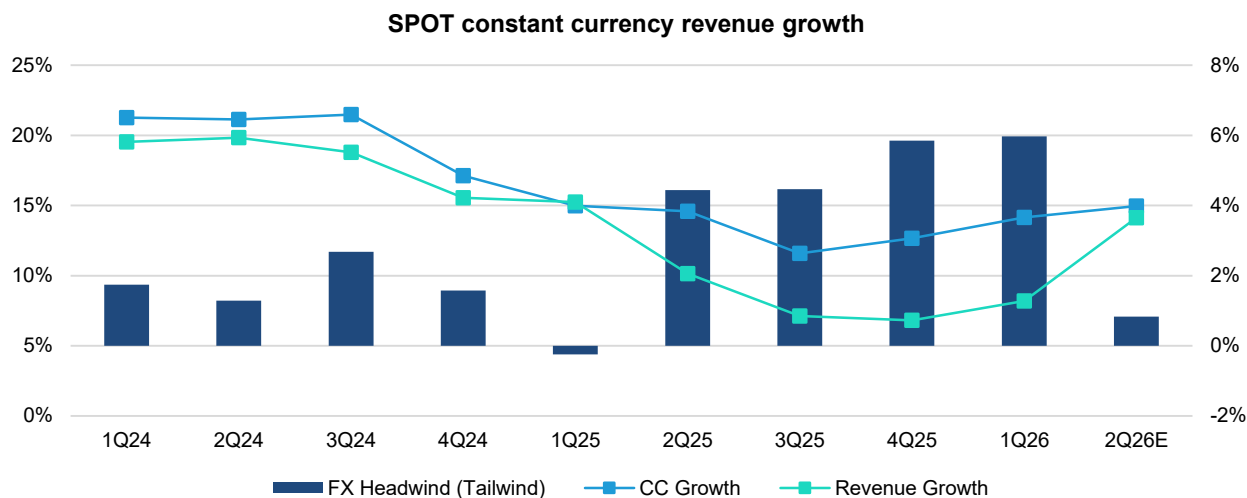
EXHIBIT 31: **Pricing remains the primary driver of Premium Gross Margin expansion, with royalty tailwinds partially offsetting content investments**



Source: Company reports, Bernstein Analysis

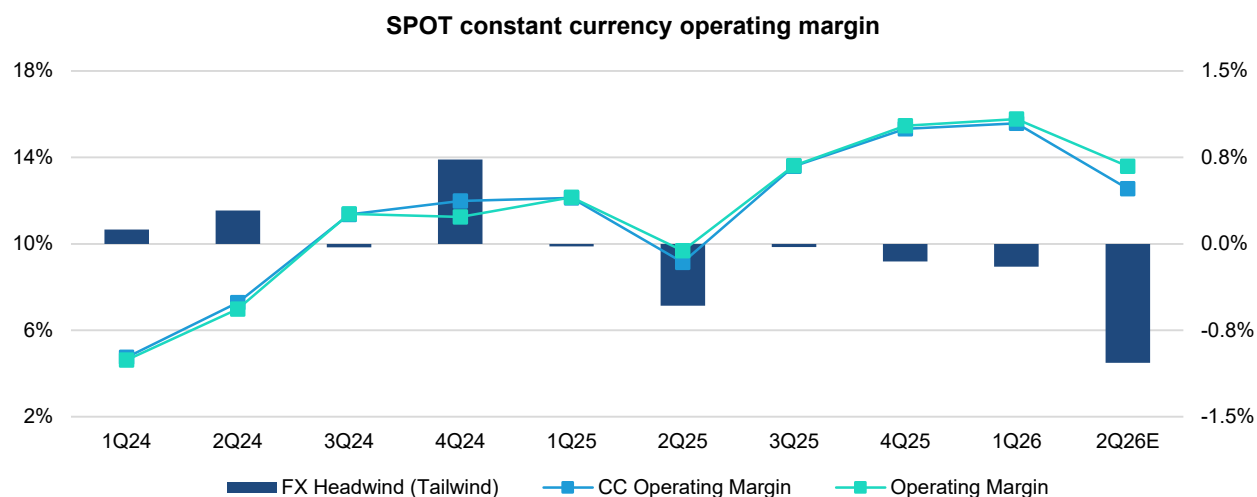
Constant currency

EXHIBIT 32: **FX headwinds create a disconnect between reported and constant currency revenue**



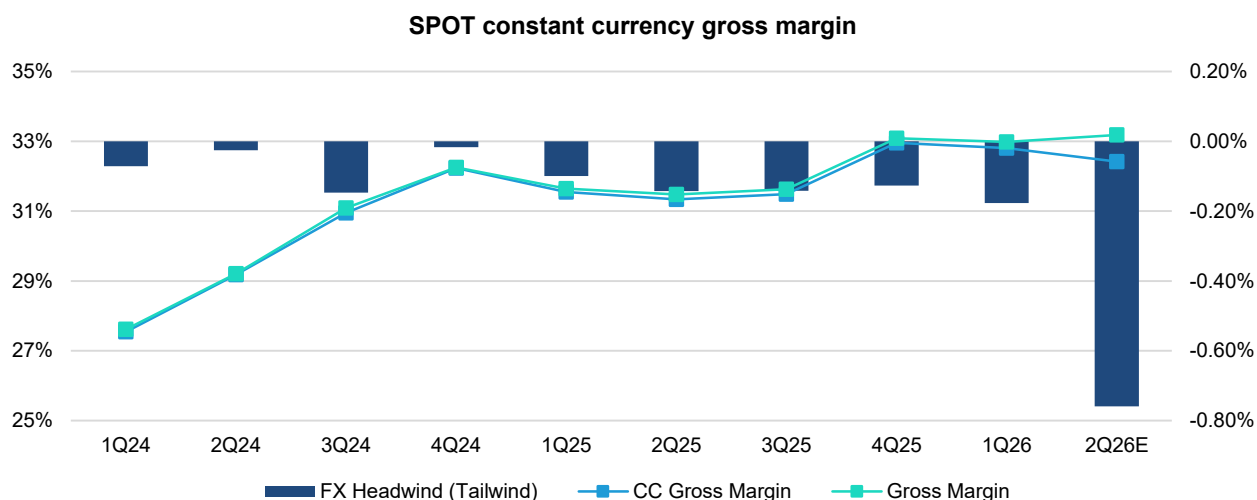
Source: Company disclosures, Bernstein Analysis and Estimates

EXHIBIT 33: ...while masking underlying improvement in operating margin performance



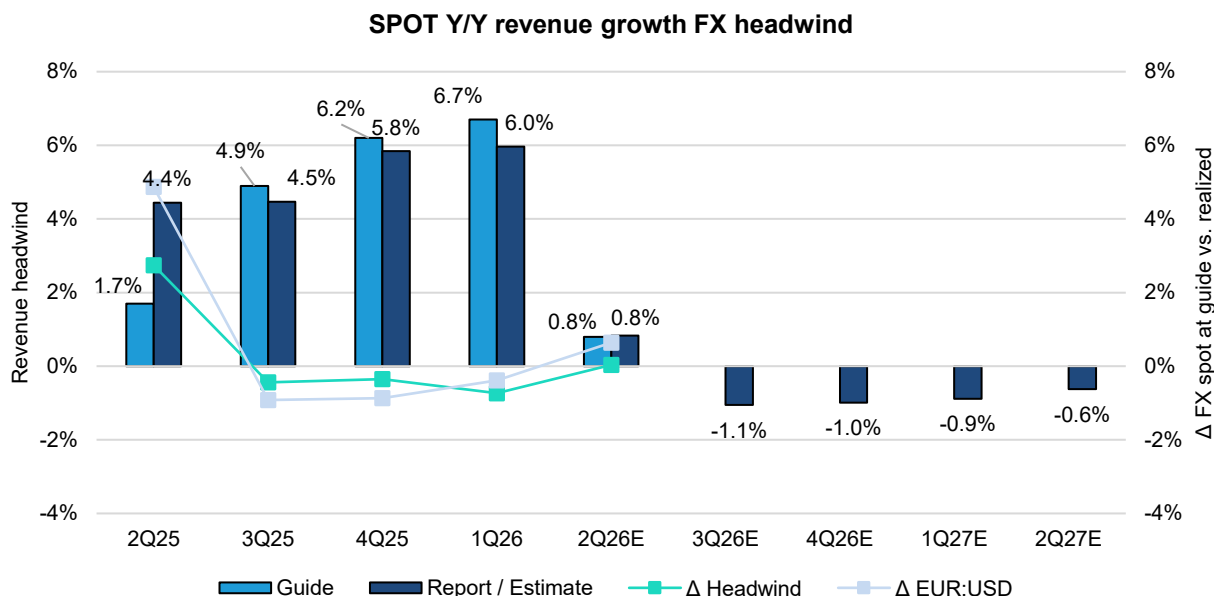
Source: Company disclosures, Bernstein Analysis and Estimates

EXHIBIT 34: ...and holding back reported gross margin despite continued underlying expansion.



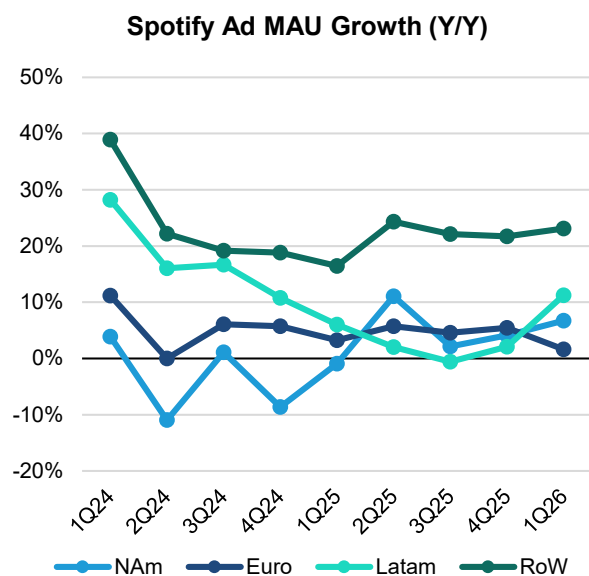
Source: Company disclosures, Bernstein Analysis and Estimates

EXHIBIT 35: **Since SPOT gives revenue guidance based on rates as of the close of the prior quarter, 2Q results could come in well below expectations on the surface**



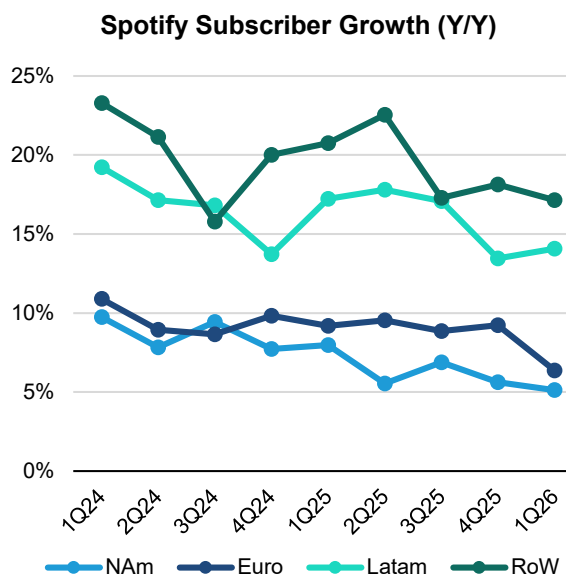
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 36: **SPOT Ad MAUs geographic breakdown growth Y/Y**



Source: Company reports, Bernstein Analysis

EXHIBIT 37: **Subscriber growth continues to normalize across regions, with RoW and Latam remain the fastest-growing regions**



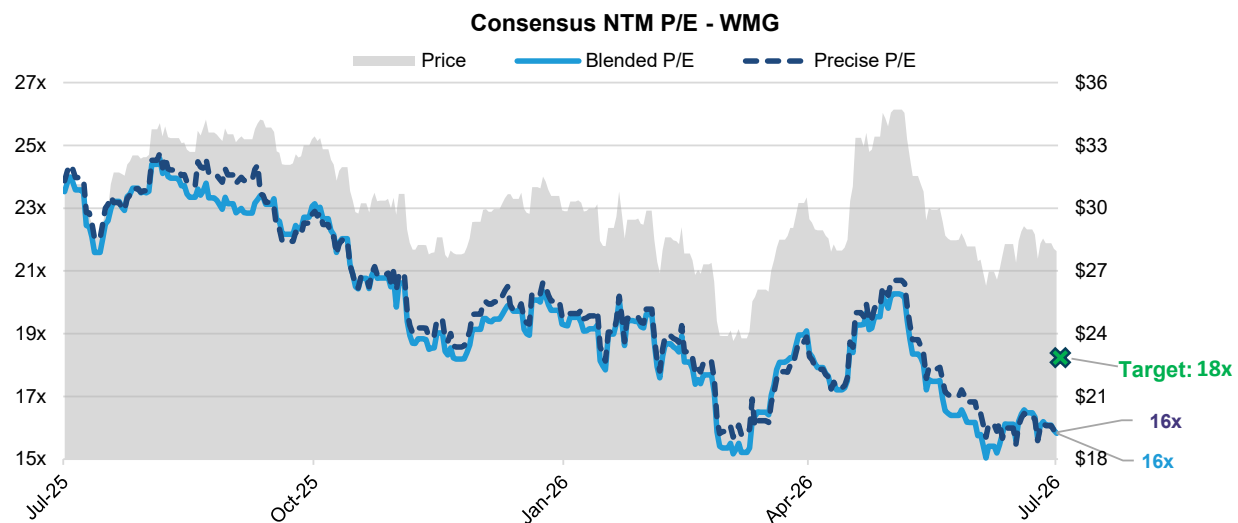
Source: Company reports, Bernstein Analysis

WMG Earnings Preview**EXHIBIT 38: WMG Earnings Preview***In millions except per share, percentage, and events*

WMG	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E Bernstein	3Q26E Consensus	%
Gross Profit									
Subscription Streaming		631	622	674	700	721	734	762	2%
Digital Revenue	1,080	1,029	1,133	1,152	1,191	1,199	1,241	1,213	2%
Other Recording & Publishing	586	455	556	716	649	533	563	568	-1%
Total Revenue	1,666	1,484	1,689	1,868	1,840	1,732	1,804	1,781	1%
Cost of Revenue	(894)	(791)	(913)	(1,034)	(987)	(930)	(954)	(953)	0%
Gross Profit	772	693	776	834	853	802	850	828	3%
Margin	46%	47%	46%	45%	46%	46%	47%	46%	1%
GAAP Income									
Operating Expenses	(472)	(435)	(511)	(587)	(461)	(435)	(459)		
EBITDA	300	258	265	247	392	367	391		
D&A	(86)	(90)	(96)	(104)	(99)	(103)	(104)		
EBIT	214	168	169	143	293	264	287		
Net Income	233	36	(16)	109	180	181	175		
EPS	0.44	0.07	(0.03)	0.21	0.34	0.34	0.33		
Adjusted Income									
Operating Expenses	(409)	(390)	(403)	(429)	(390)	(405)	(423)	(409)	3%
EBITDA	363	303	373	405	463	397	427	418	2%
Margin	22%	20%	22%	22%	25%	23%	24%	23%	0%
D&A	(86)	(90)	(96)	(104)	(99)	(103)	(104)	(93)	11%
EBIT	277	213	277	301	364	294	323	325	-1%
Net Income	299	81	92	267	255	211	211	212	0%
EPS	0.57	0.16	0.18	0.51	0.48	0.39	0.39	0.35	12%
Balance Sheet & Cash Flow									
Ending Cash	802	637	527	532	751	741	537	664	-19%
Cash Flow from Operations	332	69	46	231	440	126	307	245	26%
CFFO Conversion (% Adj. OIBDA)	91%	23%	12%	57%	95%	32%	72%	59%	13%
Free Cash Flow	296	33	7	203	420	99	280	200	40%
FCF Conversion (% Adj. EBITDA)	82%	11%	2%	50%	91%	25%	66%	48%	18%
Below the line considerations									
Interest, Net	(37)	(39)	(43)	(43)	(45)	(41)	(41)	40	-203%
Taxes	(89)	(29)	(5)	3	(71)	(73)	(71)	64	-210%
NCI & Other Non-Op	148	(64)	(137)	6	7	31	0	(217)	
Avg. shares (diluted)	524	520	521	522	533	538	538		

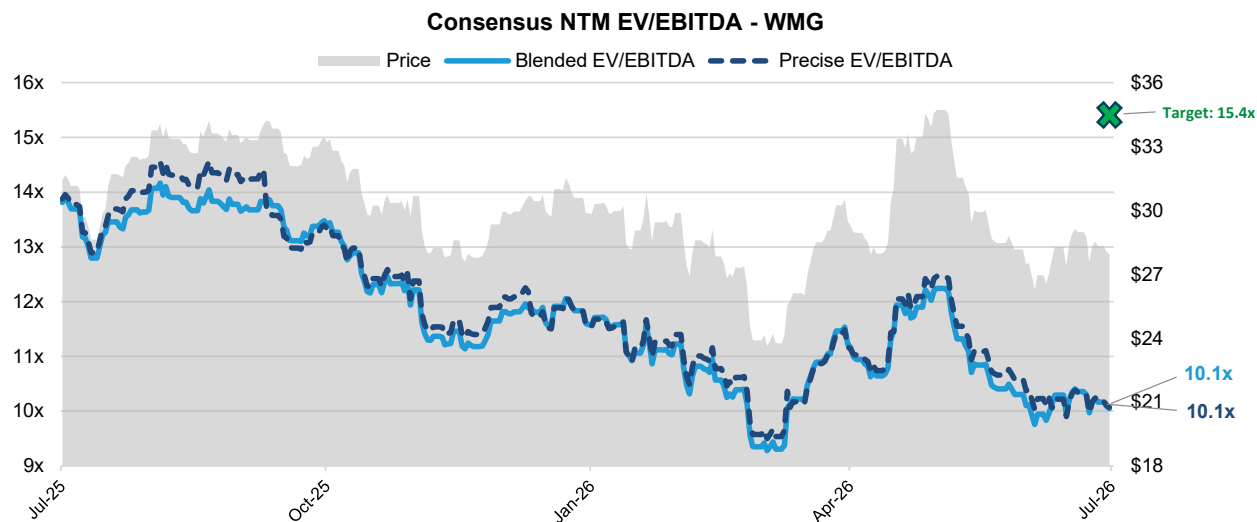
Source: Company reports, Bloomberg, CapIQ, Bernstein analysis and estimate

EXHIBIT 39: **WMG 1-year historical NTM P/E**



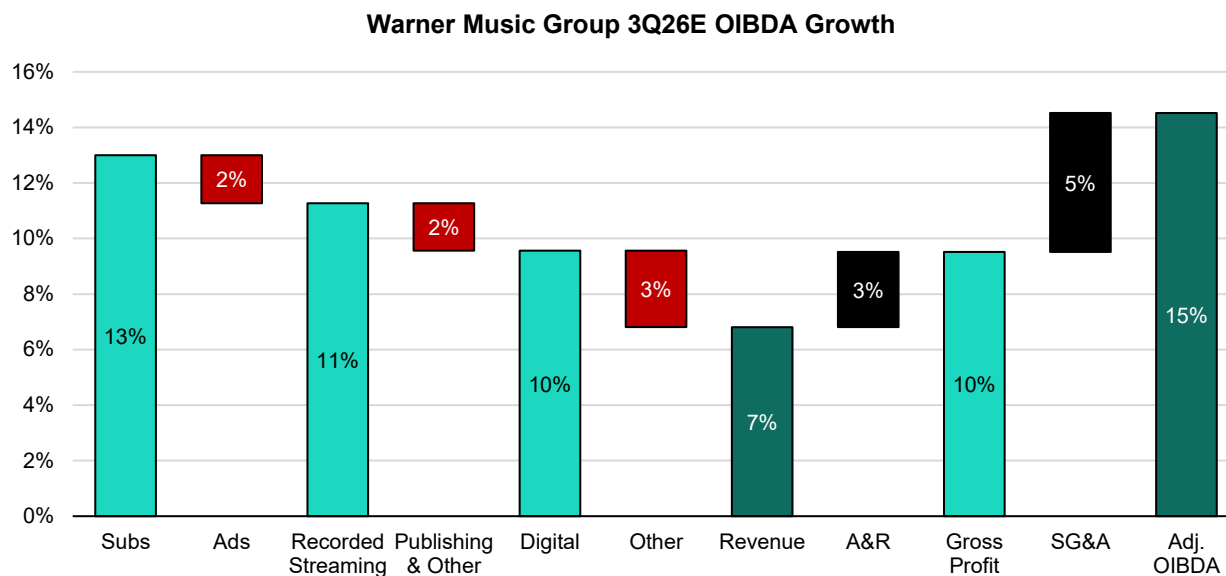
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 40: **WMG 1-year historical NTM EV/EBITDA**



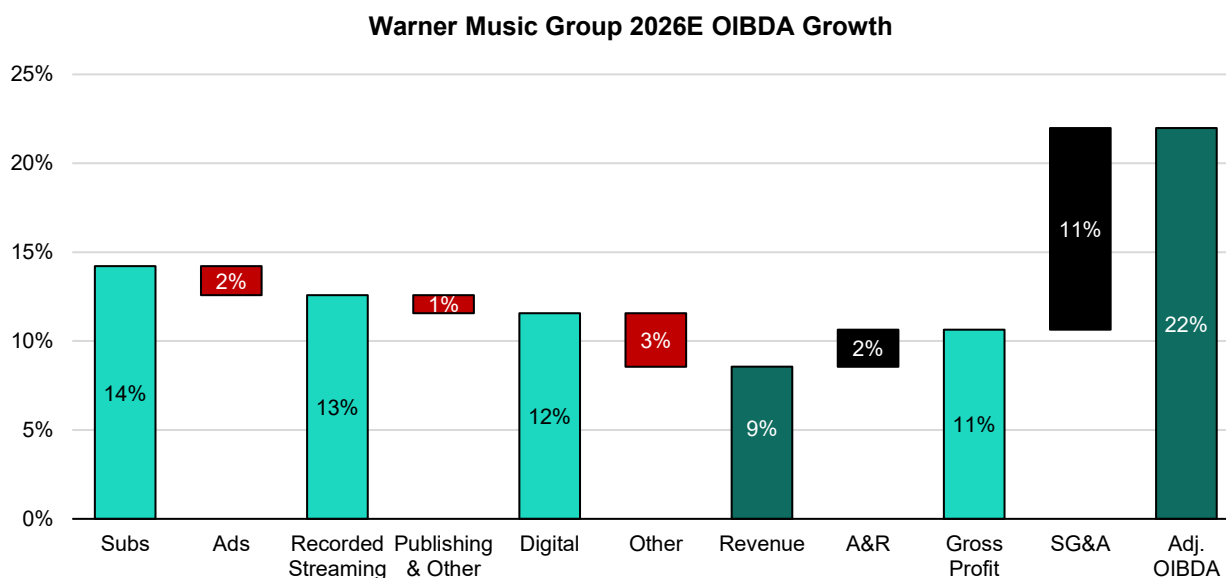
Source: Company reports, Bloomberg, Bernstein Analysis and Estimates

EXHIBIT 41: **We expect SG&A improvements to continue next quarter to grow adjusted OIBDA to 15% Y/Y**



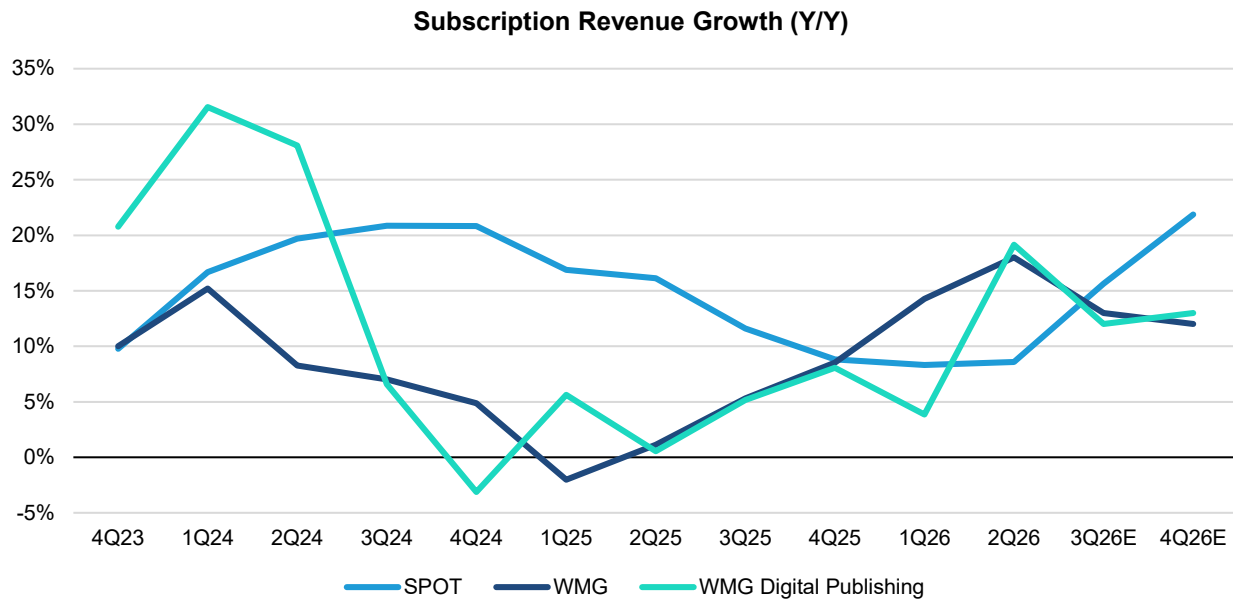
Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 42: **We expect a 22% Y/Y increase in adjusted OIBDA in FY2026**



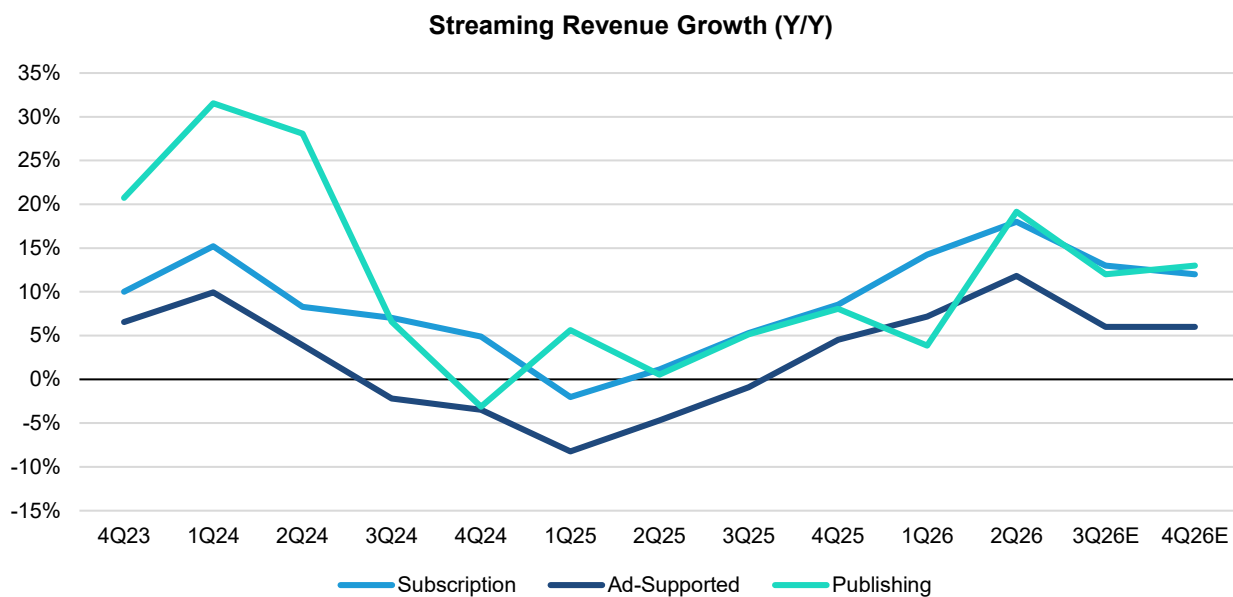
Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 43: **Digital revenue growth should re-accelerate meaningfully next year on superfan & M&A tailwinds**



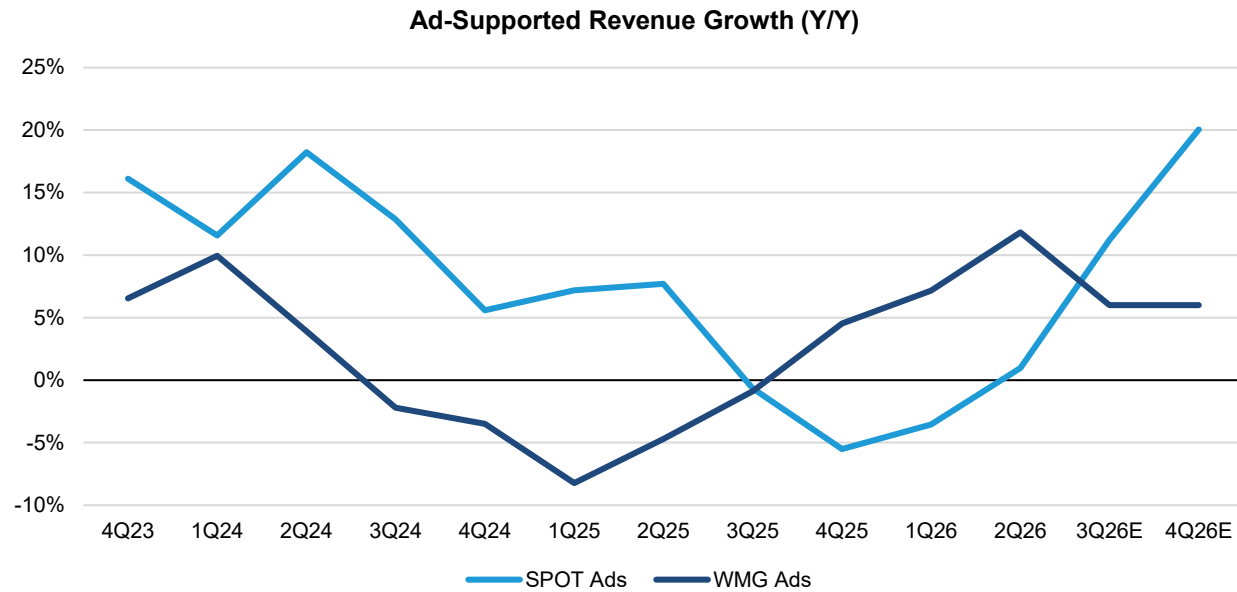
Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 44: **We expect streaming revenue to trend upwards in the next quarter**



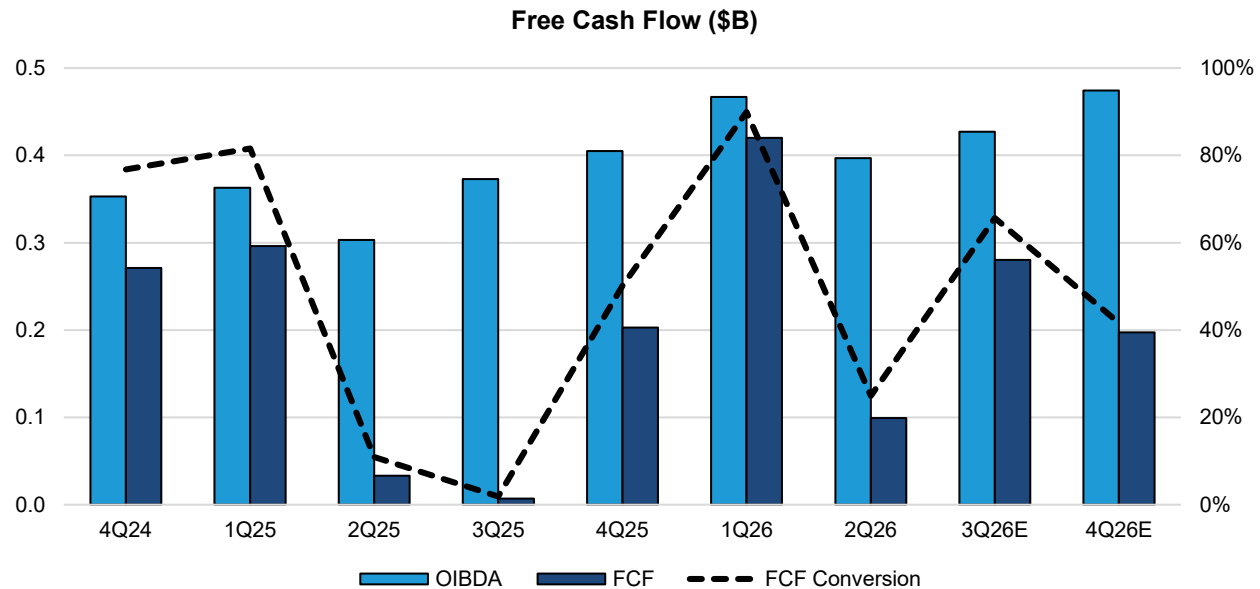
Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 45: **We expect ad-supported growth to remain flat in the coming quarter**



Source: Company reports, Bernstein Analysis and Estimates

EXHIBIT 46: **We expect free cash flow conversion of 40%+ which should place more cash on the balance sheet for strategic M&A**



Source: Company reports, Bernstein Analysis and Estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 47: SPOT Financials

In millions except per share, percentage, and users

SPOT	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	FY2023	FY2024	FY2025	FY2026E	FY2027E
IFRS INCOME STATEMENT													
Revenue	4,190	4,193	4,272	4,531	4,533	4,785	5,009	5,178	13,247	15,673	17,186	19,504	22,476
Cost of Revenue	2,864	2,873	2,921	3,032	3,038	3,197	3,344	3,398	9,850	10,949	11,690	12,977	14,701
Gross Profit	1,326	1,320	1,351	1,499	1,495	1,588	1,665	1,780	3,397	4,724	5,496	6,527	7,775
Selling and Marketing	314	364	349	399	342	444	451	440	1,572	1,533	1,392	1,426	1,676
General and Administrative	124	135	111	109	107	114	115	110	626	585	481	479	446
Research and development	379	415	309	290	331	380	390	390	1,387	1,725	1,486	1,393	1,491
Operating Expenses	817	914	769	798	780	938	956	940	3,585	3,843	3,359	3,298	3,613
EBIT	509	406	582	701	715	650	709	839	(446)	1,365	2,198	2,913	3,915
EBITDA (incl. SBC)	536	432	606	726	741	676	735	865	(288)	1,486	2,300	3,017	4,015
Other Expenses (Benefits)	284	492	(317)	(473)	(6)	80	90	111	86	227	(14)	274	559
Net Income to Common	225	(86)	899	1,174	721	570	619	729	(532)	1,138	2,212	2,639	3,355
Weight Avg. Diluted Shares	210	205	214	212	209	209	209	209	195	207	211	209	209
IFRS EPS	1.07	(0.42)	4.21	5.52	3.45	2.72	2.96	3.48	(2.73)	5.50	10.51	12.61	16.03
KEY OPERATING METRICS													
Premium Subscribers	268	276	281	290	293	299	306	317	236	263	290	317	339
Growth (Y/Y)	12%	12%	12%	10%	9%	9%	9%	9%	15%	11%	10%	9%	7%
Total MAUs	678	696	713	751	761	778	795	828	561	639	710	791	851
Growth (Y/Y)	9%	14%	11%	12%	14%	13%	12%	10%	30%	14%	11%	12%	7%
Gross Margins	31.6%	31.5%	31.6%	33.1%	33.0%	33.2%	33.2%	34.4%	25.6%	30.1%	32.0%	33.5%	34.6%
CC Gross Margins	31.5%	31.3%	31.5%	33.0%	32.8%	32.4%	33.1%	34.0%	30.1%	31.9%	33.1%	34.4%	34.4%
Operating Margins	12.1%	9.7%	13.6%	15.5%	15.8%	13.6%	14.2%	16.2%	-3.4%	8.7%	12.8%	14.9%	17.4%
CC Operating Margins	12.1%	9.1%	13.6%	15.3%	15.6%	12.6%	14.3%	15.8%	9.0%	12.6%	14.6%	17.2%	17.2%
BALANCE SHEET & CASH FLOW													
Cash & Cash Equivalents	5,019	5,161	5,456	5,258	5,255	5,405	5,710	6,039	3,114	4,781	5,258	6,039	7,341
Gross Debt & Operating Leases	554	550	505	498	476	476	476	476	1,761	2,076	498	476	476
Net Debt	(4,465)	(4,611)	(4,951)	(4,760)	(4,779)	(4,929)	(5,234)	(5,563)	(1,353)	(2,705)	(4,760)	(5,563)	(6,865)
Net Debt to EBITDA (Annualized)	-2.1x	-2.7x	-2.0x	-1.6x	-1.6x	-1.8x	-1.8x	-1.6x	4.7x	-1.8x	-2.1x	-1.8x	-1.7x
Net Change in Cash	232	119	324	(198)	(3)	150	305	329	631	1,667	477	781	1,301
Free Cash Flow	534	700	805	834	824	729	884	908	678	2,284	2,873	3,345	3,617
FCF Conversion (% of EBITDA)	100%	162%	133%	115%	111%	108%	120%	105%	-235%	154%	125%	111%	90%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 48: **WMC Financials**

In millions except per share, percentage, and events

WMC	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	FY2024	FY2025	FY2026E	FY2027E	FY2028E
GAAP INCOME STATEMENT													
Revenue	1,666	1,484	1,689	1,868	1,840	1,732	1,804	1,905	6,426	6,707	7,281	7,642	8,115
Cost of Revenue	894	791	913	1,034	987	930	954	1,008	3,355	3,632	3,879	4,057	4,267
Gross Profit	772	693	776	834	853	802	850	898	3,071	3,075	3,402	3,585	3,848
Selling, General & Administrative	474	450	471	494	458	460	487	498	1,879	1,889	1,903	1,929	1,943
Loss on Asset Disposal & Other	27	13	69	125	34	6	-	-	145	234	40	-	-
Amortization	57	62	67	72	68	72	76	78	224	258	294	275	231
Operating Expenses	558	525	607	691	560	538	563	576	2,248	2,381	2,237	2,204	2,174
EBIT	214	168	169	143	293	264	287	321	823	694	1,165	1,381	1,673
EBITDA (incl. SBC)	300	258	265	247	392	367	391	437	1,150	1,070	1,587	1,789	2,026
Other Expenses (Benefits)	(19)	132	185	34	113	83	112	122	393	332	430	514	598
Net Income to Common	233	36	(16)	109	180	181	175	200	430	362	736	867	1,075
Weight Avg. Diluted Shares	524	520	521	522	533	538	538	538	518	522	537	538	538
GAAP EPS	0.44	0.07	(0.03)	0.21	0.34	0.34	0.33	0.37	0.83	0.69	1.37	1.61	2.00
GAAP Margins:													
Gross Margin	46%	47%	46%	45%	46%	46%	47%	47%	48%	46%	47%	47%	47%
EBIT Margin	13%	11%	10%	8%	16%	15%	16%	17%	13%	10%	16%	18%	21%
EBITDA Margin	18%	17%	16%	13%	21%	21%	22%	23%	18%	16%	22%	23%	25%
Y/Y Growth (GAAP):													
Revenue	-5%	-1%	9%	15%	10%	17%	7%	2%	6%	4%	9%	5%	6%
NON-GAAP METRICS													
Adjusted EBITDA	363	303	373	405	463	397	427	474	1,432	1,444	1,761	1,939	2,181
Adjusted EBITDA Margin	22%	20%	22%	22%	25%	23%	24%	25%	22%	22%	24%	25%	27%
Non-GAAP EPS	0.57	0.16	0.18	0.51	0.48	0.39	0.39	0.44	1.39	1.42	1.70	1.89	2.28
KEY METRICS													
Constant Currency Growth	-4%	-1%	7%	15%	7%	12%							
BALANCE SHEET & CASH FLOW													
Cash & Cash Equivalents	802	637	527	532	751	741	537	219	694	530	210	(789)	(1,851)
Gross Debt & Operating Leases	4,224	4,253	4,316	4,306	4,300	4,268	4,268	4,268	4,287	4,306	4,268	4,268	4,268
Net Debt	3,422	3,616	3,789	3,774	3,549	3,527	3,731	4,049	3,593	3,776	4,058	5,057	6,119
Net Debt to EBITDA (Annualized)	2.4x	3.0x	2.5x	2.3x	1.9x	2.2x	2.2x	2.1x	2.5x	2.6x	2.3x	2.6x	2.8x
Net Change in Cash	108	(165)	(109)	5	216	(10)	(204)	(318)	34	(161)	(316)	(999)	(1,062)
Free Cash Flow	296	33	7	203	420	99	280	197	638	539	997	1,073	1,199
FCF Conversion (% of Adj. OIBDA)	82%	11%	2%	50%	91%	25%	66%	42%	45%	37%	57%	55%	55%

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	22 Jul 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
SPOT (Spotify)	O	USD	474.16	625.00	(48.7)%	EUR	10.51	12.61	16.03	39.5	32.9	25.9
OLD								12.78	16.16			
WMG (Warner Music)	O	USD	27.38	39.00	(31.8)%	USD	1.42	1.70	1.89	19.3	16.1	14.5
SPX			7,498.96									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

WMG estimate is Adjusted EPS; WMG valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Spotify Technology SA**

We reach our price target of \$625/sh via a two-stage discounted free cash flow model which includes detailed quarterly financial forecasts over three years, annual forecasts of key line items over the following five years, and a terminal perpetuity. We assume a weighted average cost of capital of 11% and a terminal free cash flow growth rate of 3.0%.

Warner Music Group Corp

We reach our target price of \$39/sh via a two-stage discounted free cash flow model which includes detailed quarterly financial forecasts over three years, annual forecasts of key line items over the following five years, and a terminal perpetuity. We assume a weighted average cost of capital of 8.5% and a terminal free cash flow growth rate of 3.0%.

RISKS**Spotify Technology SA**

Key risks to the downside include subscriber churn on price increases, delays to superfan tier launch, slowing video adoption by creators, geopolitical risks, and currency fluctuations.

Warner Music Group Corp

Key risks to the downside include share loss within recorded music or publishing, decelerating digital growth, hurdles to monetizing AI-generated music, and shifts in intellectual property protections.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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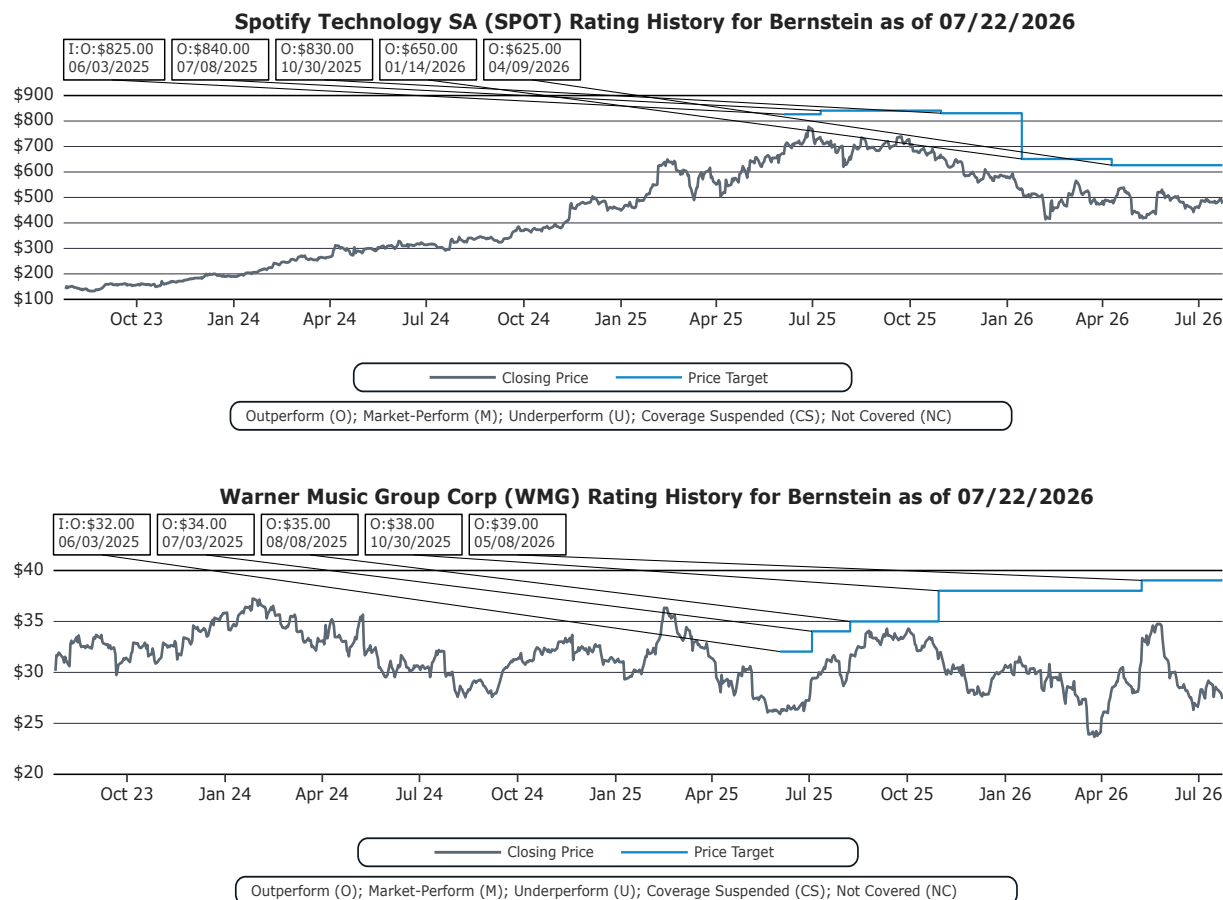
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Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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